



Diamond Trust Bank

Your Regional Bank of Choice

Kenya | Tanzania | Uganda



2004 Annual Report and Financial Statements

Diamond Trust Bank ATM's are • Open 24 Hrs •



Diamond Trust Bank now have 11 ATM machines nationwide. Every ATM is Open 24hrs making it easier for customers to access their money anytime, day or night.



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Five Year Financial Review



	Minimum Statutory Requirement	2004	2003	2002	2001	2000
Net interest income		537,864	431,156	352,358	296,717	459,398
Non-fund based income		230,474	193,409	89,148	57,694	41,195
Operating income		768,338	624,565	441,506	354,411	500,593
Operating profit before provisions		275,777	248,870	112,088	48,125	171,467
(Charge for) / write-back of impairment of loans		(35,542)	(44,764)	711	10,282	(28,255)
Profit before tax and exceptional items		240,235	204,106	112,799	58,407	143,212
Exceptional items		-	-	-	(7,000)	57,134
Profit before tax		240,235	204,106	112,799	51,407	200,346
Profit after tax		163,998	139,241	75,525	40,932	163,574
Advances to customers (net)		7,137,193	4,882,138	2,696,344	1,825,820	1,486,157
Total deposits (customers and banks)		9,303,877	6,862,257	4,783,319	4,039,499	3,672,256
Dividends for the year		69,563	69,563	47,700	31,800	47,700
Shareholders' funds		1,437,072	1,335,358	1,269,363	1,235,405	1,257,130
Total assets		11,167,723	8,659,503	6,273,754	5,515,655	5,155,303
Performance ratios						
Earnings per share - basic		Shs 1.65	Shs 1.53	Shs 0.95	Shs 0.51	Shs 2.06
- diluted		Shs 1.65	Shs 1.53	Shs 0.83	Shs 0.41	Shs 1.65
Dividend per share		Shs 0.70	Shs 0.70	Shs 0.60	Shs 0.40	Shs 0.60
Net loans to deposits		76.7%	71.1%	56.4%	45.2%	40.5%
Non performing loans to total loans (before provisions)		1.6%	2.6%	5.8%	17.5%	30.1%
Return on average total assets		1.7%	1.9%	1.3%	0.8%	2.9%
Return on average shareholders' funds		11.8%	10.6%	6.0%	3.3%	13.4%
Non-fund based income to operating income		30.0%	31.0%	20.2%	16.3%	8.2%
Core capital to customer deposits	8%	13%	17%	21%	24%	25%
Core capital to total risk weighted assets	8%	14%	19%	29%	37%	45%
Total capital to total risk weighted assets	12%	14%	20%	30%	38%	47%
Other indicators						
Number of branches		5	5	4	3	3
Number of employees		177	133	103	97	107
Expenditure on property, equipment and intangible assets		187,992	50,455	17,228	9,898	29,079

These extracts from the consolidated financial statements are stated in thousands of Kenya Shillings (Shs 000) except where otherwise indicated.



Board of Directors



From left seated: Nasim M. Devji, Managing Director; Robert A. Bird, Chairman; Mahmood P. Manji, Deputy Chairman
From left standing: Jack J. Kisa, Frederic C. Lucien, Iqbal G. Mamdani, Amin E. Merali, Karim H. Kanji, Abdul A. Samji, Nizar N. Juma, Mohamood N. Thobani
Not in the photo: Iain D. Cheyne, John D. Harris

Board of Directors

Robert A. Bird *	Chairman
Mahmood P. Manji	Deputy Chairman
Nasim M. Devji *	Managing Director
Iain D. Cheyne *	(Alternate: Frederic C. Lucien **)
John D. Harris *	
Nizar N. Juma	
Karim H. Kanji ***	
Jack J. Kisa	
Iqbal G. Mamdani ****	
Amin E. Merali	
Abdul A. Samji	
Mohamood N. Thobani *****	

*British **French ***Tanzanian ****American *****Ugandan

Company Information

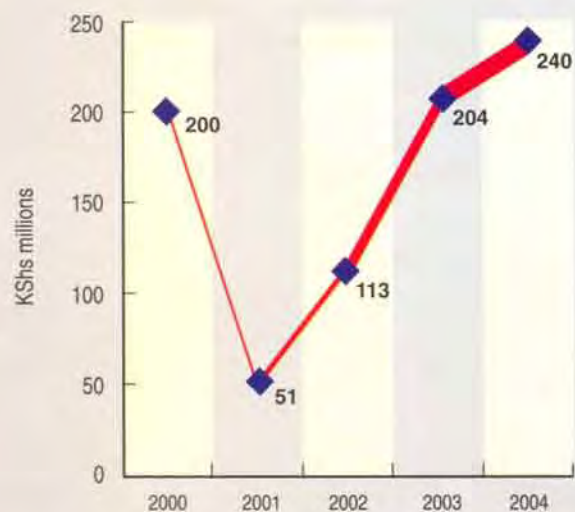


Company Secretary	Elizabeth W. Hinga		
Registered Office	Nation Centre Kimathi Street P.O. Box 61711 City Square 00200 Nairobi		
Auditors	PricewaterhouseCoopers Certified Public Accountants Rahimtulla Tower Upper Hill Road P.O. Box 43963 Nairobi		
Branches	Nation Centre Kimathi Street P.O. Box 61711 City Square 002000 Nairobi Diamond Trust House Moi Avenue P.O. Box 90564-80100 Mombasa	Aga Khan Hospital 3rd Avenue, Parklands P.O. Box 39694 Parklands 00623 Nairobi Diamond Trust House Oginga Odinga Road P.O. Box 108-40100 Kisumu	Unit 2, Capital Centre Mombasa Road P.O. Box 27556 GPO 00506 Nairobi
Principal Officers	Shahzad Karim K. B. Gopa Kumar D. R. Sathya Vadana Alkarim H. Jiwa Joseph M. Mathai Shiraz E. Surani Kennedy O. Nyakomitta Stella N. Mulinge Milerangam G. Jayaraman Frederick O. Olande Nizar H. Tundai Nita Shah Shamim S. Damji Laila R. Premji	General Manager, Corporate Banking General Manager, Retail Banking General Manager, Treasury & International Banking General Manager, Finance & Operations General Manager, Mombasa General Manager, Kisumu Senior Manager, Asset Finance & Insurance Premium Finance Senior Manager, Western Union Money Transfer Service Senior Manager, Credit Risk Senior Manager, Regional Human Resources Senior Manager, Information & Communications Technology Senior Manager, Regional Internal Audit Senior Manager, Nation Centre Branch Manager, Parklands Branch	
Principal Correspondents	London New York Paris Frankfurt Toronto Johannesburg Mumbai Melbourne	HSBC Bank PLC Citibank NA Citibank NA Standard Chartered Bank PLC Natexis Banque Populaires BHF Bank Commerzbank Citibank, Canada Citibank, South Africa ICICI Bank ANZ Bank Melbourne, Australia	

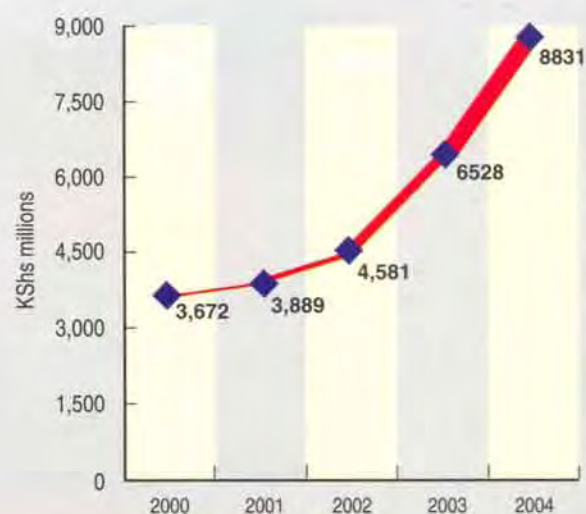


Financial Performance Charts

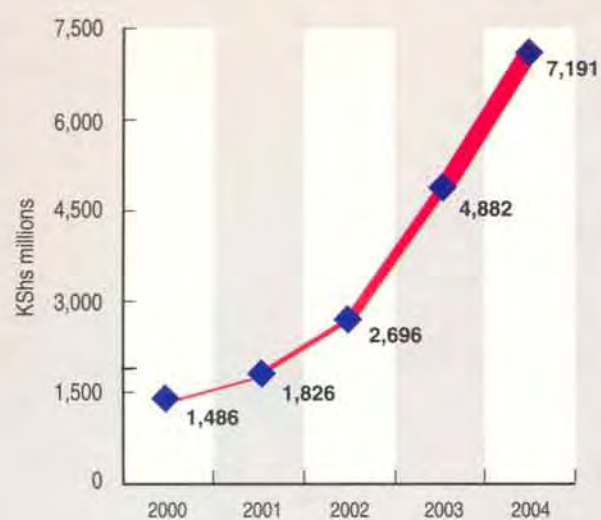
Group Profit before Tax



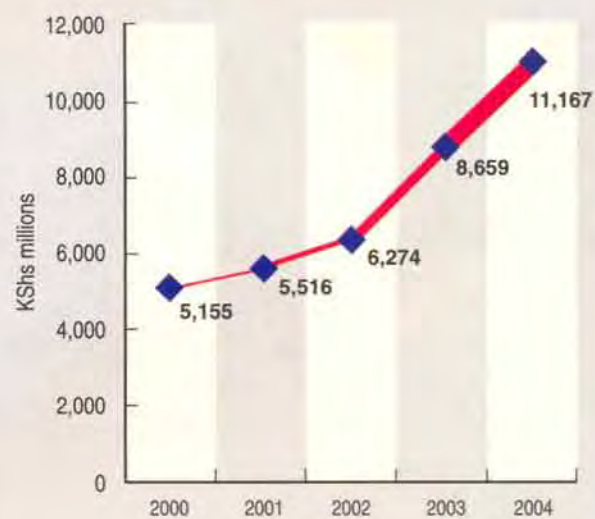
Customer Deposits



Advances

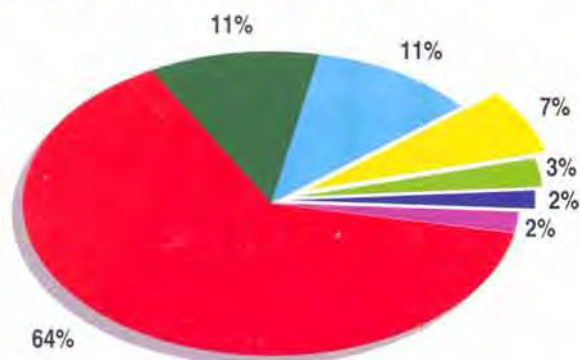


Total Assets





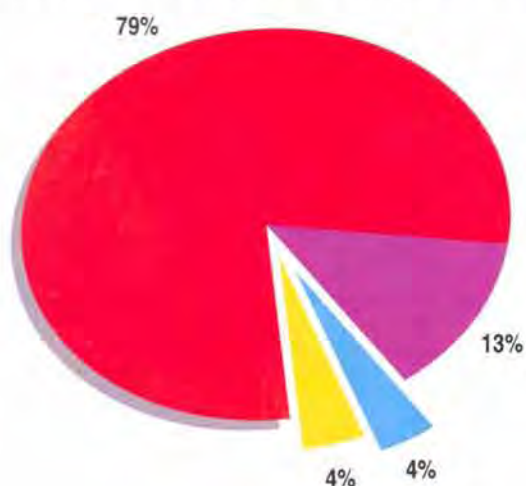
Distribution of Assets - 2004



	2004	2003
Loans and advances to customers	7,137	4,882
Government securities	1,239	2,522
Cash and Central Bank of Kenya balances	1,202	517
Deposits with banking institutions	822	179
Other assets	306	229
Property and equipment	254	162
Investments in associates	207	168
Total	11,167	8,659

	Shs millions	
	2004	2003
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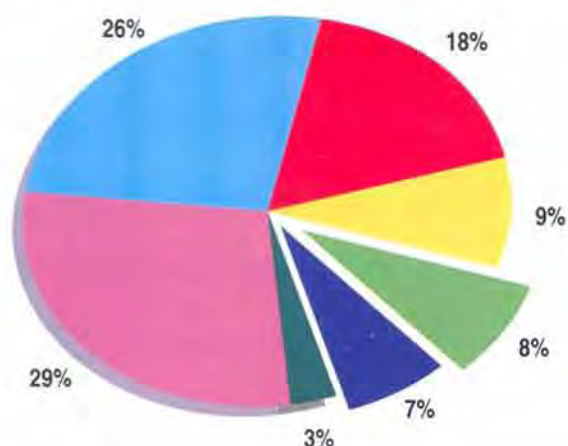
Liabilities Composition and Shareholders' Equity - 2004



	2004	2003
Customer deposits	8,831	6,528
Shareholders' equity	1,437	1,335
Deposits from banking institutions	472	334
Other liabilities	427	462
Total	11,167	8,659

	Shs millions	
	2004	2003
Customer deposits	8,831	6,528
Shareholders' equity	1,437	1,335
Deposits from banking institutions	472	334
Other liabilities	427	462
Total	11,167	8,659

Distribution of Income - 2004



	2004	2003
Other Operating expenses	284	200
Staff expenses	258	202
Interest expense	174	138
Retention	95	70
Income Tax	76	65
Shareholders' dividends	69	69
Impairment losses	35	45
Total	991	789

	Shs millions	
	2004	2003
Other Operating expenses	284	200
Staff expenses	258	202
Interest expense	174	138
Retention	95	70
Income Tax	76	65
Shareholders' dividends	69	69
Impairment losses	35	45
Total	991	789



Notice of the Annual General Meeting

Notice is hereby given that the Thirty Ninth General Meeting of the shareholders of Diamond Trust Bank Kenya Limited will be held at the Nairobi Serena Hotel, on 24 May 2005 at 11.00 a.m. to transact the following business:

1. To confirm the Minutes of the Thirty Eighth Annual General Meeting held 24 May 2004.
2. To receive, consider and adopt the Annual Report and Financial Statements for the year ended 31 December 2004.
3. To approve payment of a final dividend of 17.5% on the Issued and Paid-up Share Capital of Shs 397.5 million to the shareholders registered in our book as at 24 May 2005 on or about 24 June 2005, as recommended by the Board.
4. To elect Directors in accordance with the Company's Articles of Association.
5. To approve the Directors' fees.
6. To appoint the Company's Auditors, PricewaterhouseCoopers, in accordance with Section 159(2) of the Companies Act (Cap. 486) and Section 24(1) of the Banking Act (Cap. 488). PricewaterhouseCoopers have indicated their willingness to continue in office.
7. To note the Auditors' remuneration for the year 2004, and to authorise the Directors to fix the Auditors' remuneration for the year 2005.
8. To transact any other Ordinary Business of a Annual General Meeting.

SPECIAL BUSINESS

9. To consider and if deemed appropriate, pass the following resolutions as Ordinary Resolutions:
 - (i) "That pursuant of Article 133 of the Bank's Articles of Association, and subject to the approval of the Capital Markets Authority being obtained pursuant to rule 19 G.01 of the Capital Markets Authority Rules 2002, and the Nairobi Stock Exchange admitting the listing of new ordinary shares of the Bank, and upon the recommendation of the Board, it is desirable to capitalise a sum of Shs. 99,375,000 being part of the amount standing to the credit of Retained Earnings and accordingly that such sum be set free for distribution amongst the Shareholders of existing ordinary shares in the capital of the Bank on the Share Register as at the date of the closure of the Register, 24 May 2005, on condition that the same be not paid in cash but applied in paying up in full at par 24,843,750 of the unissued ordinary shares of Shs 4 each in the authorised Share Capital of the Bank, and that such 24,843,750 shares credited as fully paid-up be accordingly be allotted to such shareholders in the proportion of one of such new shares for every four of existing 99,375,000 shares then held by such Shareholders respectively (fractions of a share to be disregarded) and that the shares so distributed shall be treated for all purposes as an increase of the nominal amount of the capital of the Bank held by each such Shareholder and not as income and further that such shares shall rank *pari passu* for all purposes with the existing shares in the capital of the Bank and the Directors be and are hereby authorised and directed to give effect to this Resolution".
 - (ii) "That should any of the said 24,843,750 bonus shares not be issued by reason of fractions of a share being disregarded, the Directors may allot and issue the same to such persons and upon such terms and conditions that they may think fit".

By Order of the Board

Elizabeth W. Hinga
Company Secretary

23 February 2005
Nairobi

Note:

A member entitled to attend and vote at the above Meeting is entitled to appoint one or more proxies to attend and vote on its/his/her behalf. Such proxy need not be a member of the Company. A proxy form, which must be lodged with the Company Secretary, P.O. Box 61711, City Square 00200, Nairobi not later than 48 hours before the time for holding the Meeting, is enclosed.



Robert A. Bird, Chairman.

Although there was some improvement in economic performance over the previous year there were few signs of the sustainable recovery which Kenya badly needs. The main positive developments were the resumption of aid by most donors, particularly the IMF, and the lifting of almost all of the travel advisories, which had so adversely affected tourism. As a result, GDP growth increased to the forecast annual level of 2.4%, compared to the 1.4% for 2003. Tourism was the main sector showing encouraging growth, up by 22%, followed by the agricultural sector, notably horticulture and tea, despite the very poor rainfall during the first half of the year, which had a negative effect.

Lower food production and higher international oil prices also adversely impacted on inflation. Underlying inflation increased to 4.9% by December with the annual average overall figure at 11.6% compared to 9.8% for the previous year. Despite this situation, foreign exchange reserves, at US\$1,518 million remained at just under four months of import cover and, despite some slight weakening; the Kenya Shilling stayed relatively stable during the year at around 79 to 81 to the U.S. Dollar.

Some reinvestment took place but, not surprisingly, there were few signs of new inward investment, which factor contributed to the depressed demand for credit from the Corporate Sector. Nevertheless, credit to the Private Sector overall grew by 23.6%, mainly as a result of a sharp increase in personal loans as many commercial banks sought to diversify their lending bases by moving more into the retail sector. Lower interest rates also played a role in this trend, although, during the last quarter of the year, Treasury Bill rates moved sharply upwards. The 91 day rate increased to 8.04% by the December, compared to 1.5% at the beginning of the year, reflecting tighter liquidity in the financial markets. It is, however, pleasing to note that non performing loans, whilst still a problem for the banking industry, fell to 21.7% of total lendings from 25.6% for the previous year.

Despite this rather mixed economic picture, I am pleased to report that your bank continued to move ahead steadily, both in terms of profits and, particularly, infrastructural development. Profit before tax, at Shs. 240 million, was up by 18% over the previous year. Total assets grew by 29% to Shs. 11.17 billion, of which



Chairman's Statement (Continued)

lendings accounted for Shs. 7.14 billion, an increase of 46% over 2003. Nevertheless we are strictly maintaining our prudent lending policies, particularly given the stagnant nature of the corporate market. It is therefore pleasing to note that our non performing loans fell for the fourth successive year, by 10%, to Shs 115 million or 1.6% of total lendings, one of the lowest levels in the industry. Largely due to the lower returns available on investment of surplus funds, our deposit growth was geared to that necessary to fund the increase in our lending book, but they nevertheless increased by 35%, to Shs. 8.83 billion. Lower interest margins and heavy competition again reduced the impact of the encouraging growth in lendings with net interest reflecting a lower increase of 26%. However, non interest income continued to improve steadily, up by 19%, to Shs 230 million or 30% of total income, as a result of our ongoing drive to diversify our income base.

The depressed economic conditions and highly competitive markets in recent years have emphasised the need for any bank which wishes to grow, to continually look for opportunities to enhance and diversify income streams, whilst improving both service and efficiency. This obviously requires considerable

investment in infrastructure and resources, some of which does not show an immediate return. In my last Chairman's statement I advised that we were in the process of completely revamping our information technology infrastructure, as well as refocusing our retail business strategy. Of necessity these developments therefore had a major impact on our operating expenses which increased by 35%, to Shs 542 million. In addition we incurred capital expenditure of Shs. 125.4 million, principally flowing from the retail and IT projects, as well as Shs 62.5 million, shown under intangible assets, relating to software costs for our new IT platform and ATM network. I will therefore expand further on both of these new initiatives.

Thanks to the efficiency and hard work of management and staff right across the DTB Group I am very pleased to advise that the Flexcube information technology project was successfully implemented in all three banks, between March and November, on time and, except for some necessary enhancements, on budget. This new regional platform not only increases operating efficiencies and flexibility in accessing information, but also greatly improves our ability to enhance existing products as well as delivering new products and services such as internet banking. The critical importance of our new IT platform was underlined during our major new thrust into the Retail Sector through our Open Banking range of products, which was launched in October. To have successfully implemented two such enormous projects in the same year bears testimony to the dedication and professionalism of our staff at all levels, who worked long hours, including evenings and weekends, to ensure successful implementation, whilst continuing to operate and expand the bank's existing business.

As a Non Bank Financial Institution almost entirely involved in asset financing for many years it was a natural development for Diamond Trust to largely focus on the corporate sector when we obtained our banking licence in 1995. That is not to say that we did not undertake personal business but it was not one of our principal activities. However, increased competition, lower interest rates and tighter margins, in recent years, as well as the need to diversify and expand our deposit base, prompted us, in common with a number of other 'niche' banks, to

The bank's Western Union division... excelling in customer service, contributing to revenues.



Chairman's Statement (Continued)



Customer service staff at work at the bank's Retail Banking Centre.

look beyond our traditional customer and product base in order to maintain growth in both business and profitability. Our Western Union business was one result of this change in strategy. However the retail sector overall was our principal focus where the key success factors are products, delivery channels, price and, above all, excellent service. Whilst we can rightly claim to offer a high level of customer service, it was necessary to greatly increase our range of retail products and to put in place the right delivery channels.

During 2003 we undertook extensive market research aimed at identifying the best parts of the retail markets for us to target and the range of products which these customers desired. Then, during 2004, we set about developing these products and putting in place the required delivery channels. In so doing we had to look at ways of improving customer access, given our relatively limited branch network. Fortunately advances in technology have been sufficient for us to be able to overcome this potential disadvantage through the use of Automated Teller Machines (ATMs) and the Internet. The result of all of this preparatory work was the launch of our 'Open Banking' range of products in October. This, however, is only the start and we are already in the process of putting in place complementary products such as internet banking and card services.

As I mentioned earlier, investment in diversification into new products and services rarely covers costs

immediately and this will certainly be the case with our new retail strategy. Although the main investment and expenditure has already been undertaken, our existing network of eleven ATMs, which underpins Open Banking, will need to be expanded during the year and further investment will be necessary in order to launch new products and services. Fortunately the response to our new retail initiative has been extremely encouraging from both existing and new customers and we are convinced that this is the right strategy for us to follow in order for your bank to sustain growth in business and profitability in the coming years.

The Flexcube project also strengthened our position as a Regional Bank and we continued to work closely with our sister banks in enhancing Regional business opportunities and in exploiting operating synergies. The ongoing development of the East African Community, including the recent signing of the East African Customs Union Agreement, will provide further opportunities for the DTB Group and we are putting in place mechanisms to ensure that we take full advantage of this important development. Both Diamond Trust Banks in Tanzania and Uganda again recorded significant improvements in their profit before tax of 47% and 106% respectively and DTB's share of their profits improved to Shs 49 million, compared to Shs 27 million for 2003. In Tanzania a new branch was opened, in Mwanza, in November, and a second branch in Dar es Salaam is planned for this year. In Uganda we secured the Western Union Agency early in the year and this has already become an important new source of income. A second branch in Kampala is to be opened during 2005.

In terms of diversification, our Western Union business, launched in early 2003, has become an integral part of our overall business, making an increasingly significant impact on our non interest earnings. We are fortunate in having a strong and dedicated team driving this business forward which resulted in excellent growth in our market share during the year.



Chairman's Statement (Continued)

Last year I also mentioned the establishment of a dedicated Asset Finance Unit to revitalise this sector of our business. I am pleased to note that, thanks to the efforts of this experienced and enthusiastic team, the assets of the Unit increased by almost 90% during the year, considerably reinforcing our position in the market.

Shareholders will be well aware of the significant progress which your bank has made in recent years in terms of business growth, profitability and infrastructural development. However, during 2004, it is fair to say that the banking markets and public at large became more aware of DTBK, partly as a result of our raised profile from the Open Banking launch, but also because of our increased visibility overall, including the appointment of our Managing Director as Vice Chairperson of the Kenya Bankers' Association. These successes have been achieved through the dedication, professionalism and hard work of our Group CEO and Managing Director, Nasim Devji, and her management team with the enthusiastic support of all of our employees. On behalf of the Shareholders and Board I therefore take this opportunity of thanking them all sincerely for an exceptional year's performance.

Other than the new appointments which I covered in my last Chairman's Statement, there have been no other changes to the composition of the Board. This has also been a busy year for your Directors, who have participated fully and actively in decision making and monitoring involved in the various new projects as well as the ongoing operations of the bank. I therefore thank them for their valuable contribution to the positive performance of our institution.

Looking ahead to the rest of the year, it is difficult to be optimistic given the recent downturn in relations with

the donors, which, if not resolved at an early stage, could adversely affect the economy, including investor confidence. Nevertheless, I am confident that your bank will continue to move ahead on all fronts and build upon the investments in our infrastructure and new products and services which have taken place in recent years.

Finally, there is one further matter about which I wish to inform you. The rapid growth of business of the bank in terms of assets and investment in infrastructure, with resultant costs, has created a situation where the bank now needs to increase its capital base. The bank therefore, over the next few months, intends to raise Tier II capital in the form of Subordinated Debt of up to US\$ 7 million. Your Board has decided that this is the most appropriate and cost effective way to supplement our capital at the present time. The Subordinated Debt will be raised from a variety of potential institutional lenders and we will make the required announcements in the press and notify the necessary regulatory authorities as soon as the respective loan agreements are successfully negotiated.

In closing, I also take the opportunity of thanking you, our Shareholders, for your ongoing support, as well as to our growing number of loyal customers. I am confident that we will continue to deliver in terms of return, value and service.

Robert A. Bird
Chairman

Diamond Trust Bank affiliates in Tanzania and Uganda connect directly to the centralised, state of the art Data Centre in Nairobi using VSAT technology.





Ingawa kumekuwa na maendeleo bora katika hali ya kiuchumi kwa miaka kadha iliyopita, palionyesha dalili ndogo za unafuu wa maendeleo endelevu ambayo Kenya inahitaji sana. Maendeleo ya kutia tumaini zaidi yalikuwa ni hatua ya wafadhili kurudisha msaada wa kifedha, hasa mashirika ya IMF na kuondoa marufuku ya watalii kuja Kenya ambayo awali yaliathiri vibaya utalii humu nchini. Kwa hali hiyo, kiwango cha GDP kilipanda na kuongezeka kwa mwaka kwa kiasi cha asilimia 2.4%, ukilinganisha na asilimia 1.4% mwaka 2003. Utalii ilikuwa ndiyo sekta kuu ambayo ilionyesha kukua zaidi hadi kufikia asilimia 22%, ikifuatiwa na sekta ya kilimo, hasa kilimo cha mboga na matunda na majani-chai ukizingatia kwamba palikuwa na kiwango cha chini mno cha mvua katika kipindi cha kwanza cha nusu mwaka, jambo ambalo lilipelekea kuwepo kwa athari kubwa kwa jumla.

Uzalishaji mdogo wa chakula na kuongezeka kwa bei za mafuta katika masoko ya kimataifa kulichangia pakubwa katika kupanda kwa gharama za maisha. Gharama za maisha ziliongezeka kwa asilimia 4.9% hadi kufikia Desemba kwa kiwango cha wastani cha asilimia 11.6% kwa mwaka ukilinganisha na asilimia 9.8% cha mwaka uliotangulia. Mbali ya hali hiyo, ubadilishanaji wa fedha za kigeni uliendelea kuwa katika kiwango cha wastani cha Dola milioni 1,518 kwa muda wa miezi minne ya uhibitaji wa uingizaji bidhaa kutoka nje, mbali na kupoteza thamani kidogo, Shilingi iliendelea kuimarika katika kipindi chote cha mwaka na kuwa kiasi cha Shilingi 79 hadi Shilingi 81 kwa Dola moja ya Marekani.

Kulikuwa na uwekezaji upya, lakini jambo la kutoshangaza ni kwamba uwekezaji huo haukuwa na uzito ama mapato ya ya kudhihirika, jambo lililochangia kushuka kwa kiasi cha mikopo kutoka katika kampuni kubwa mbalimbali. Pamoja na hayo, mikopo katika kampuni za kibinafsi iliongezeka kwa asilimia 23.6% hasa kutokana na matokeo ya ongezeko la mikopo ya kibinafsi kwa kuwa benki nyingi za biashara zilipanua riba za mikopo na kuhusisha sekata ya wakopaji wadogo wadogo. Viwango vidogo vya riba pia vilichangia katika jambo hili, ingawa katika kipindi cha robo mwaka, viwango vya hawala za Serikali ziliongezeka sana. Zile za siku 91 ziliongezeka kwa asilimia 8.04% hadi kufikia Desemba, ukilinganisha na asilimia 1.5% mwanzoni mwa mwaka na kumaanisha kiasi kikubwa cha ukwasi katika masoko ya kifedha. Hata hivyo, inafurahisha kuona kwamba mikopo ambayo hailipwi, ingawa itaendelea kuwa tatizo katika sekta ya benki, ilishuka hadi asilimia 21.7% kwa jumla ya mikopo inayokopwa kutoka asilimia 25.6% katika mwaka uliotangulia.

Mbali na hali halisi ya migongano ya kiuchumi, nina furaha kuripoti kwamba benki yenu imeendelea kusonga mbele kwa uimara zaidi, kwa upande wa faida na hasa maendeleo ya kimuundo msingi. Faida kabla ya kodi ilikuwa Shilingi milioni 240 ambazo ni zaidi kwa asilimia 18% mwaka uliopita. Mtaji kwa jumla ulikua kwa asilimia 29% na kufikia Shilingi bilioni 11.17 ambazo kati ya hizo zilizokopeshwa zilifikia Shilingi bilioni 7.14, ikiwa ni ongezeko la asilimia 46% kutoka 2003. Hata hivyo, tunaendelea kudhibiti sera zetu za kukopesha pesa, hasa ikikumbukwa biashara za kampuni kubwa zimepunguka. Kwa hiyo inatia moyo kuona mikopo isiyokuwa na faida imeshuka kwa mwaka wa nne mfululizo kwa asilimia 10% na kufikia Shilingi milioni 115 ama asilimia 1.6% ya jumla ya mikopo, kiasi ambacho ni kidogo zaidi katika sekta ya benki. Hasa kutokana na mapato madogo yaliyopatikana katika uwekezaji wa pesa za ziada, kiasi cha fedha zilizowekwa benki kiliongezeka na kuonyesha umuhimu wa kuongeza kwa kiwango cha ukopeshaji, lakini hata hivyo kiliongezeka kwa asilimia 35% hadi kufikia Shilingi bilioni 8.83. Viwango vya chini vya faida na ushindani mkali vimepunguza ukuaji wa viwango vya ukopeshaji ambapo faida kabla ya kodi iliongezeka kidogo kwa asilimia 26%. Hata hivyo, kipato cha faida kisichokuwa na riba kiliendelea kuongezeka na kufikia asilimia 19% hadi Shilingi milioni 230 ama asilimia 30% ya jumla ya kipato chote, ikiwa ni matokeo ya utaratibu wa kupanua kiwango cha kipato chetu.

Kushuka kwa hali ya uchumi na ushindani mkubwa wa soko katika miaka ya karibuni kumeleta haja kwa benki yeyote ile ambayo inadhamiria kukua, iendeleo kuangalia nafasi za kupanuka zaidi na kuongeza kipato chake wakati huo huo ikiboresha huduma zake na utendaji kazi bora. Ili kufanikisha hili kunatakiwa uwekezaji katika miundo mbinu na rasimali, baadhi yake ambazo hazionyeshi faida mara moja. Katika taarifa yangu ya mwisho ya mwaka jana, nilisema tulikuwa katika harakati za kurekebisha muundo msingi wa teknolojia ya mawasiliano, pamoja na kutathmini upya mpango wetu wa kibiashara. Marekebisho haya yana umuhimu mkubwa kuhusiana na gharama zetu za uendeshaji ambazo ziliongezeka kwa asilimia 35% hadi kufikia Shilingi milioni 542. Pamoja na hilo pia tulitumia mtaji wa Shilingi milioni 125.4 hasa katika miradi ya teknolojia ya mawasiliano (IT) pamoja na Shilingi milioni 62.5 zilizoonyesha katika rasimali ambazo ni pamoja na gharama za mashine zinazohusiana na kompyuta kwa ajili ya mradi wetu mpya wa teknolojia ya mawasiliano na mtandao wa ATM. Kwa hiyo nitaendelea zaidi kuhusiana na miradi hii mipya.



Taarifa ya Mwenyekiti (Inaendelea)



The newly refurbished Kisumu Branch.

Ningependa kuwashukuru wafanyakazi wote na wasimamizi wa DTB kwa kazi nzuri wanayofanya. Nina furaha kuwaeleza kwamba teknolojia ya mawasiliano ya "Flexcube" ilifanikiwa kutekelezwa katika benki zote tatu, kati ya mwezi Machi na Novemba kwa wakati uliopangwa, isipokuwa tu palikuwa na dosari kidogo katika bajeti. Mfumo huu mpya utaongeza ufanisi wa kazi na urahisi wa kupata taarifa na pia utatuwezesha kuboresha huduma tunazotoa hivi sasa pamoja na kutoa huduma mpya kama vile kuhudumia wateja wa benki kwa kutumia mtandao wa wavuti (Internet). Umuhimu mkubwa wa mfumo wetu wa IT ulidhihirishwa zaidi wakati tulipoingia katika sekta ya kuhusisha wateja wadogo wadogo kupitia huduma za "Open Banking" yenye aina mbalimbali za akaunti, ambayo ilizinduliwa Oktoba. Kufanikisha vyema uzinduzi wa miradi hiyo miwili muhimu katika mwaka mmoja kunadhihirisha kwamba wafanyakazi wetu walijitolea kiutaalam na kibinafsi ili kuifanikisha katika ngazi zote za kimajukumu kwani walifanya kazi saa nyingi, ikiwepo nyakati za jioni na hata mwisho wa wiki ili kuhakikisha inafanikiwa na kupanua huduma za benki.

Ikiwa ni taasisi ya kifedha isiyokuwa benki na ikijihusisha zaidi na huduma za kifedha za rasimali kwa miaka mingi, yalikuwa ni maendeleo makubwa kwa Diamond Trust kupanuka na kuhusisha sekta ya makampuni makubwa wakati tulipopata leseni ya benki mwaka 1995. Hiyo siyo kusema kwamba hatukufanya biashara ndogo ndogo, lakini haikuwa katika mojawapo ya maswala tuliyoyapa kipaumbele. Hata hivyo, kuongezeka kwa ushindani wa kibiashara, viwango vidogo vya faida ya riba katika miaka ya karibuni pamoja na haja ya kupanua hazina yetu, vilitupelekea sisi pamoja na benki nyingine za "kishubaka" tuangalie mbele ya huduma zetu za kawaida ili tuweze kukua kibiashara na kifaida. Biashara ya Western Union ni mojawapo ya matokeo ya mabadiliko katika mpangilio wetu. Hata hivyo, sekta ya wateja wadogo ndiyo iliyokuwa lengo letu kubwa ambalo

kielelezo chake cha mafanikio ni bidhaa, njia za kutoa huduma, bei na pamoja ya yote huduma nzuri zaidi. Wakati huu tunaweza kudai kwamba tunatoa asilimia kubwa ya huduma kwa wateja, kwani ilikuwa ni muhimu kuongeza aina ya huduma tunazotoa kwa kutumia njia zinazofaa.

Mnamo 2003 tulifanya utafiti mkubwa wa soko kwa madhumuni ya kutambua sehemu zinazofaa zaidi katika kutoa huduma kwa wateja wetu wadogo wadogo ili tuweze kulenga sehemu hizo na kutoa huduma za aina tofauti ambazo wateja hawa wanahitaji. Ndipo mwaka 2004, tulipoanza kuziendeleza huduma hizi na kuweka njia muafaka za utoaji wa huduma zenyewe. Kwa kufanya hivyo, inabidi tubuni njia za kuboresha upatikanaji wa wateja, tukizingatia kwamba tuna matawi machache mno ya benki yetu humu nchini. Jambo la kufurahisha ni kwamba, upanuzi wa teknolojia umetuwezesha kuruka kikwazo hiki kwa kutumia mashine za ATM na mtandao wa wavuti (Internet). Matokeo ya matayarisho yote haya ni kuzinduliwa kwa huduma zetu za "Open Banking" mnamo Oktoba. Hata hivyo, huu ni mwanzo tu na tayari tumeanza utaratibu wa kuongezea huduma zaidi za benki kupitia wavuti (internet) na kadi.

Kama nilivyosema awali, uwekezaji katika upanuzi wa biashara kwenye huduma na bidhaa mpya ni gharama kubwa na hili pia lilituhusu katika utaratibu wetu mpya. Ingawa uwekezaji mkuu na matumizi tayari vimefanyika, mfumo wetu wa sasa wa ATM kumi na moja, ambao unahusisha "Open Banking", utahitaji kupanuliwa katika mwaka huu huku rasimali zaidi na vitega uchumi itabidi vianzishwe ili kuwezesha kuzinduliwa kwa bidhaa na huduma mpya. Jambo la kutia matumaini ni kwamba tumepata wateja wengi katika huduma zetu zinazolenga wateja wadogo wadogo, huku pakiwa na wateja wapya na wengine wa zamani na tumeshawishika kwamba huduma hii ilikuwa ni sawa kwetu kuifuata ili benki yetu iweze kukua kibiashara na kifaida katika miaka ijayo.

Mradi wa "Flexcube" pia umeimarisha nafasi yetu kama Benki ya kitaifa na tunaendelea kushirikiana na benki nyingine zetu katika kuchochea nafasi za kibiashara na pia kuangalia uwezekano wa kuanzisha ushirikiano wa kimaeneo. Maendeleo ya Jumuiya ya nchi za Afrika Mashariki ambayo yanaimarika kila kukicha, ukiwemo mkataba wa hivi karibuni wa kuanzishwa kwa Idara ya Kodi na Ushuru ya Afrika Mashariki, kutaipatia nafasi DTB na tumeanza kufanya tathmini ya kuhakikisha kwamba tunatumia vyema nafasi ya maendeleo haya yenye umuhimu mkubwa. Benki za Diamond Trust, Tanzania na Uganda zimefanya vizuri zaidi katika faida kabla ya kodi ambayo ilikuwa ni asilimia 47% na



asilimia 106% mtawalia na hali kadhalika mgawanyo wa DTB katika faida uliongezeka kwa Shilingi milioni 49, ukilinganishwa na Shilingi milioni 27 mwaka 2003. Nchini Tanzania, tawi jipya lilifunguliwa jijini Mwanza, mnamo Novemba na tawi jingine linatarajiwa kufunguliwa jijini Dar es Salaam mwaka huu. Nchini Uganda, tulipata wakala wa Western Union mwanzoni mwa mwaka na huduma hizo zinatuungizia pesa zaidi. Tawi la pili katika mji wa Kampala litafunguliwa mwaka huu wa 2005.

Kuhusu kupanua biashara, biashara ya Western Union ilizinduliwa mwanzoni mwa 2003, na imekuwa sehemu kiunganishi ya biashara zetu zote, ambayo imekuwa na umuhimu mkubwa katika mapato yetu yasiyo na madhumuni ya kupata faida. Tuna bahati kuwa na wafanyakazi wenye moyo wa kujitolea ambao wameimarisha biashara yetu na kusababisha kukua kwa kasi kwa hisa zetu katika soko mwaka huu.

Mwaka jana pia nilitaja kuhusu kuanzishwa kwa idara ya "Asset Finance" ili kushamirisha biashara yetu katika sekta hiyo. Nina furaha kueleza kwamba, kutokana na juhudi kubwa ya wafanyakazi wetu, rasilmali za idara ziliongezeka kwa karibu asilimia 90% katika kipindi cha mwaka na hivyo kuimarisha nafasi yetu katika soko.

Wamiliki hisa watakuwa wanafahamu umuhimu wa maendeleo ambayo benki yenu imefanya katika miaka ya karibuni kwa maana ya ukuaji wa kibiashara, faida na maendeleo ya miundo mbinu. Hata hivyo, katika mwaka wa 2004, itakuwa haki kusema kwamba masoko ya benki na wananchi kwa ujumla wameifahamu DTBK, hasa ikiwa ni matokeo ya kuzinduliwa kwa huduma za "Open Banking" pamoja na kuwa tumetambulika zaidi, ikiwemo uteuzi wa Meneja Mkurugenzi wetu kuwa Makamu Mwenyekiti wa Chama cha Mabenki cha Kenya. Mafanikio haya yamepatikana kupitia kujitolea, utaalum na kufanya kazi kwa bidii ya mchwa kwa Mkuu wetu wa DTBK na Meneja Mkurugenzi, Nasim Devji pamoja na timu yake ya wasimamizi kwa kushirikiana na wafanyakazi wote. Kwa niaba ya wamiliki hisa na bodi, ningependa kuchukua nafasi hii kuwashukuru wote kwa moyo mkunjufu kwa kazi nzuri mliyofanya mwaka huu.

Mbali ya uteuzi mpya ambao nilitaja katika taarifa yangu ya mwisho ya mwaka jana, hakujakuwa na mabadiliko mengine katika bodi. Huu pia umekuwa mwaka wa shughuli nyingi kwa wakurugenzi wenu, ambao wameshiriki kikamilifu katika kutoa uamuzi na usimamizi wa miradi mbalimbali mipya pamoja na uendeshaji wa huduma katika benki. Kwa hiyo

ninawashukuru wote kwa mchango wenu mkubwa katika mafanikio ya benki yetu.

Nikiangalia mbele katika mwaka huu, ni vigumu kutabiri, kwa kulingania mvutano uliokuwepo na wafadhili, jambo ambalo kama halitapatiwa suluhisho la dharura katika hatua za awali, linaweza kuathiri vibaya uchumi, ikiwemo imani ya wafadhili. Hata hivyo, nina imani kwamba benki yenu itaendelea kusonga mbele katika huduma zake na kujijenga kwenye rasilmali ya muundo mbinu wetu na bidhaa na hali kadhalika huduma mpya zitaanzishwa katika miaka ya hivi karibuni.

Mwisho, ningependa kuwajulisha suala lingine. Ustawi wa haraka wa biashara ya benki yetu unaohusiana na mali ya uwekezaji rasilmali katika miundo msingi pamoja na gharama zake umesababisha benki kuongeza mtaji wake. Hivyo, katika muda wa miezi ijayo, Benki inakusudia kuongeza mtaji wa safu ya pili (Tier II) wa deni dogo, ufikiao dola za US\$ 7 milioni. Bodi yenu imeamua hii ndiy njia bora na ya kudhibiti gharama, ya kuchangia kwa mtaji tulio nao sasa. Pesa hizo zitapatikana kutoka kwa taasisi zinazokopesha pesa na taarifa zinazohitajika zitatangazwa kupita magazetini. Pia wasimamizi wanaohusika watajulishwa mara tu mikataba tofauti ya mikopo itakapojadiliwa na kukubaliwa.

Kwa kumalizia hotuba yangu, nachukua tena nafasi hii kuwashukuru nyote, wamiliki wa hisa kwa kuendelea kutuunga mkono, pia wateja wetu ambao wanaendelea kuongezeka siku baada ya siku. Ninaamini kwamba tutaendelea kuwashughulikia kimapato, kithamani na hali kadhalika katika utoaji wa huduma zetu bora.

Robert A. Bird Mwenyekiti

Taarifa iliyoko hapa juu ni tafsiri ya Kiswahili ya Taarifa ya Mwenyekiti iliyoko ukurasa wa 8 - 11. Iwapo patatokea utata wowote katika tafsiri ya maana halisi ya maneno yaliyotumika, basi tafsiri ya Kingereza ndiyo itakayotawala.

The text set out above is a Kiswahili translation of the Chairman's Statement, which appears on pages 8 - 11. In the event of any dispute in the interpretation of the Kiswahili version, the English version shall be the authoritative version.



*Service with a smile
at our Capital Centre
Branch.*

Corporate governance defines the process and structure used to direct and manage business affairs of the company with the aim of enhancing corporate accounting and shareholders' long term value while taking into account the interests of other stakeholders.

The Board of Directors is responsible for the governance of the bank and is committed to ensuring that its business and operations are conducted with integrity and in compliance with the law, internationally accepted principles and best practices of corporate governance and business ethics. In this respect, the Board confirms that the bank complies with all relevant local legislation including the provisions of the Banking Act and the prudential regulations issued by the Central Bank of Kenya. The Board has also adopted the Guidelines on Corporate Governance Practices by Public Listed Companies in Kenya published by the Capital Markets Authority in 2002.

BOARD OF DIRECTORS

The Board fulfils its fiduciary responsibility to the shareholders by maintaining control over the strategic, financial, operational and compliance issues of the bank. Whilst the Board provides direction and guidance on strategic and general policy matters and remains responsible for establishing and maintaining overall internal controls over financial, operational and compliance issues, it has delegated authority to the Managing Director to conduct the day to day business of the bank.

The Board consists of eleven non-executive directors (including the Chairman and Deputy Chairman) and one executive director (the Managing Director). The Board members possess extensive experience in a variety of disciplines including banking, business and financial management, all of which are applied in the overall management of the bank. All non-executive directors are subject to periodic retirement and re-election to the Board, in accordance with the bank's Articles of Association. The Board meets at least six times a year, and has a formal schedule of matters reserved for it. The directors are given appropriate and timely information so that they can maintain full and effective control over strategic, financial, operational and compliance issues.

The remuneration of all directors is subject to regular monitoring to ensure that levels of remuneration and compensation are appropriate. Non-executive directors are paid a monthly fee plus a sitting allowance for every

meeting attended. They are not eligible for pension scheme membership and do not participate in any of the company's bonus schemes. Information on the compensation received and the dealings of the directors with the bank are included in the financial statements in Note 32 on pages 45 and 46.

The Board has set up sub committees to supplement its functions. These include:

Board Nominating and Remuneration Committee (BNRC)

The members of the BNRC are the Chairman of the Board and two other non-executive directors. The Committee is responsible for proposing new nominees to the Board, assessing the performance and effectiveness of directors, and ensuring, through annual reviews, that the Board composition reflects an appropriate mix of skills and expertise required. The BNRC is also mandated to recommend to the full Board the remuneration of executive directors and the structure of their compensation package.

Board Audit Committee (BAC)

This Committee consists of three non-executive directors. The BAC, which meets on a quarterly basis, as a minimum, is mandated to raise the standards of corporate governance by continuously improving the quality of financial reporting, strengthening the control environment and the effectiveness of the internal and external auditing functions. In addition to advising the Board on best practice, the BAC also monitors management's compliance with relevant local legislation, regulations and guidelines issued by regulatory bodies, as well as the bank's laid down policies and procedures.

INTERNAL CONTROL SYSTEMS

The bank has well defined written policies and procedures to ensure that best practices are followed in conducting the day to day operations and financial reporting as well as in implementing strategic action plans approved by the Board. A well-structured organisation chart ensures that there is adequate segregation of duties. Structures and systems have been defined in the bank's policies and procedures to facilitate complete, accurate and timely execution of transactions, operations and commitments and the safeguarding of assets.

Statement on Corporate Governance (Continued)



The group's business performance trends, forecasts and actual performance against budgets and prior periods are closely monitored and regularly reported to the Board and senior management. Financial information is prepared using appropriate accounting policies, which are applied consistently.

To assist management in fulfilling its mandate and to ensure compliance with the laid down policies and procedures, various committees have been established. The roles, responsibilities and composition of some of the key management committees are given below:

Regional Office Credit Committee (ROCC)

In accordance with the bank's Credit Policy, this Committee, which is chaired by the Managing Director also comprises three other senior management staff, meets regularly to review and approve the bank's credit applications, of up to pre-defined, Board approved limits. Depending on the level of credit limits applied for, credit applications are recommended by the ROCC for approval by a committee of directors or, where necessary, the full Board. The ROCC also provides its opinions on credit applications referred to it by the bank's affiliates in Tanzania and Uganda, prior to tabling them to the respective banks' board members for approval.

Assets and Liability Committee (ALCO)

The ALCO is chaired by the Managing Director and comprises five other members of senior management staff. The Committee, which meets at least once each

month, is mandated to optimise returns, whilst prudently managing and monitoring the assets and liabilities of the bank. The ALCO is responsible for controlling and managing the bank's interest rate risk, currency risk and liquidity risk, in addition to ensuring compliance with the bank's Investment Policy, laid down by the board, and statutory requirements relating to liquidity, foreign exchange exposure and cash ratio.

RELATIONS WITH SHAREHOLDERS

The Board recognises the importance of good communication with all shareholders. The Annual General Meeting (AGM) as well as published annual reports and financial statements are used as an opportunity to communicate with all shareholders. The bank always gives its shareholders the minimum notice period of the AGM as defined in its Memorandum and Articles of Association and in compliance with the Companies Act.

Shareholders have direct access to the bank, its Company Secretary and the Shares Registrar who respond to the correspondence received from the shareholders on a wide range of issues.

The distribution of the issued share capital of the bank as well as the list of its ten largest shareholders and their respective holdings as at 31 December 2004 are included in the financial statements in Note 33 on page 46.



Robert A. Bird
Chairman



Mahmood P. Manji
Deputy Chairman



Nasim M. Devji
Managing Director



Text Books for Primary School Children in North Eastern Province



Honorable Prof. George Saitoti, Minister for Education flagging off a consignment of text books worth Kshs 4 million for 212 primary schools in the North Eastern Province.

The Minister is flanked by the Managing Director of DTBK Nasim Devji and the Deputy Chairman of DTBK Board Mr. Mahmood Manji.

The Books were donated by Diamond Trust Bank Kenya, Western Union and Postbank on 18th May 2004.





The directors submit their report together with the audited financial statements for the year ended 31 December 2004, which disclose the state of affairs of the group.

INCORPORATION AND REGISTERED OFFICE

The bank is incorporated in Kenya under the Companies Act and is domiciled in Kenya. The address of its registered office is disclosed on page 4.

PRINCIPAL ACTIVITIES

The group is engaged in the business of providing banking and other related services to the general public.

RESULTS AND DIVIDEND

	Shs '000
Group profit before tax	240,235
Tax	76,237
Profit after tax	163,998
Dividends	69,563
Retained profit for the year	94,435

The directors recommend the approval of a final dividend of Shs 69,562,500 (2003: Shs 69,562,500).

DIRECTORS

The present membership of the Board is listed on page 3.

In accordance with Articles No. 93 and 94 of the bank's Articles of Association, Messrs. M. P. Manji, A. E. Merali and I. D. Cheyne retire by rotation and being eligible, offer themselves for re-election.

AUDITORS

The bank's auditors, PricewaterhouseCoopers, have indicated their willingness to continue in office in accordance with the provisions of section 159(2) of the Companies Act and Section 24(1) of the Banking Act.

By Order of the Board

Elizabeth W. Hinga
Company Secretary

23 February 2005
Nairobi



Statement of Directors' Responsibilities

for the year ended 31 December 2004

The Companies Act requires the directors to prepare financial statements for each year that give a true and fair view of the state of affairs of the group and of the company as at the end of the financial year and the group's profit or loss. It also requires the directors to ensure that the company keeps proper accounting records that disclose, with reasonable accuracy, the financial position of the company. They are also responsible for safeguarding the assets of the company.

The directors accept responsibility for the annual financial statements, which have been prepared using appropriate accounting policies supported by reasonable and prudent judgements and estimates, in conformity with International Financial Reporting Standards and the requirements of the Companies Act. The directors are of the opinion that the financial statements give a true and fair view of the state of the financial affairs of the group and of the company and of the group's profit. The directors further accept responsibility for the maintenance of accounting records that may be relied upon in the preparation of financial statements, as well as adequate systems of internal financial control.

Nothing has come to the attention of the directors to indicate that the company and its subsidiary will not remain a going concern for at least twelve months from the date of this statement.

Robert A. Bird
Chairman

Nasim M. Devji
Managing Director

23 February 2005
Nairobi



Express remittance service at the Nation Centre Branch.

Report of the Independent Auditors to the members of Diamond Trust Bank Kenya Limited

We have audited the financial statements of Diamond Trust Bank Kenya Limited for the year ended 31 December 2004 set out on pages 21 to 46.

RESPECTIVE RESPONSIBILITIES OF DIRECTORS AND AUDITORS

The directors are responsible for the preparation of financial statements described on page 19. Our responsibility is to express an independent opinion on the financial statements based on our audit.

BASIS OF OPINION

We conducted our audit in accordance with International Standards on Auditing. Those standards require that we plan and perform our audit to obtain reasonable assurance that the financial statements are free from material misstatement. An audit includes an examination, on a test basis, of evidence supporting the amounts and disclosures in the financial statements. It also includes an assessment of the accounting policies used and significant estimates made by the directors, as well as an evaluation of the overall presentation of the financial statements.

We have obtained all the information and explanations that to the best of our knowledge and belief were necessary for the purposes of our audit and believe that our audit provides a reasonable basis for our opinion.

OPINION

In our opinion proper books of account have been kept and the financial statements give a true and fair view of the state of the financial affairs of the group and of the company as at 31 December 2004 and of the profit and cash flows of the group for the year then ended in accordance with International Financial Reporting Standards and the Kenyan Companies Act. The balance sheet of the company is in agreement with the books of account.

PRICEWATERHOUSECOOPERS 

Certified Public Accountants

23 February 2005

Nairobi

Diamond Trust Bank Kenya Limited
Consolidated Profit and Loss Account
for the year ended 31 December 2004

	Notes	2004 Shs '000	2003 Shs '000
Interest income	1	712,265	569,077
Interest expense	2	(174,401)	(137,921)
Net Interest Income		537,864	431,156
Fee and commission income		178,424	104,824
Foreign exchange income		59,888	37,592
Other operating income	3	(7,838)	50,993
Operating Income		768,338	624,565
Operating expenses	4	(542,038)	(402,344)
Impairment loss on loans and advances	14	(35,542)	(44,764)
Profit from Operations		190,758	177,457
Share of results of associates before tax	12	49,477	26,649
Profit before Income Tax		240,235	204,106
Income tax expense	6	(76,237)	(64,865)
Net profit for the year		163,998	139,241
Dividends:			
Proposed dividend for the year	8	69,563	69,563
Earnings per Share (Shs per share)			
- basic and diluted	7	1.65	1.53
Dividends per Share (Shs per share)	8	0.70	0.70

Diamond Trust Bank Kenya Limited
Consolidated Balance Sheet
as at 31 December 2004

	Notes	2004 Shs '000	2003 Shs '000
Assets			
Cash and balances with Central Bank of Kenya	9	1,201,671	517,134
Government securities	10	1,238,883	2,522,271
Deposits and balances due from banking institutions	11	821,728	179,022
Other assets	13	231,031	207,307
Loans and advances to customers	14	7,137,193	4,882,138
Investments in associates	12	207,320	167,709
Deferred income tax asset	15	16,305	16,996
Property and equipment	16	254,213	161,870
Intangible assets	17	59,379	5,056
Total assets		11,167,723	8,659,503
Liabilities			
Customer deposits	19	8,831,556	6,528,151
Deposits and balances due to banking institutions	20	472,321	334,106
Current income tax payable		2,785	35,036
Other liabilities	21	423,989	426,852
Total liabilities		9,730,651	7,324,145
Shareholders' equity			
Share capital	22	397,500	397,500
Share premium	22	16,320	16,320
Retained earnings		838,538	740,410
Capital reserves	23	115,151	111,565
Proposed dividend	8	69,563	69,563
Total shareholders' equity		1,437,072	1,335,358
Total liabilities and equity		11,167,723	8,659,503

The financial statements on pages 21 to 46 were approved for issue by the board of directors on 23 February 2005 and signed on its behalf by:

Robert A. Bird
Chairman

Mahmood P. Manji
Deputy Chairman

Nasim M. Devji
Managing Director

Elizabeth W. Hinga
Secretary

Bank Balance Sheet

as at 31 December 2004

	Notes	2004 Shs '000	2003 Shs '000
Assets			
Cash and balances with Central Bank of Kenya	9	1,201,671	517,134
Government Securities	10	1,238,883	2,522,271
Deposits and balances due from banking institutions	11	821,728	179,022
Other assets	13	231,031	207,307
Loans and advances to customers	14	7,137,193	4,882,138
Investments in subsidiary and associates	12	79,139	79,139
Deferred income tax asset	15	16,305	16,996
Property and equipment	16	254,213	161,870
Intangible assets	17	59,379	5,056
Total assets		11,039,542	8,570,933
Liabilities			
Customer deposits	19	8,831,556	6,528,151
Deposits and balances due to banking institutions	20	472,321	334,106
Current income tax payable		8,991	41,242
Other liabilities	21	503,551	506,414
Total liabilities		9,816,419	7,409,913
Shareholders' equity			
Share capital	22	397,500	397,500
Share premium	22	16,320	16,320
Retained earnings		713,142	650,695
Capital reserves	23	26,598	26,942
Proposed dividend	8	69,563	69,563
Total shareholders' equity		1,223,123	1,161,020
Total liabilities and equity		11,039,542	8,570,933

The financial statements on pages 21 to 46 were approved for issue by the board of directors on 23 February 2005 and signed on its behalf by:

Robert A. Bird
Chairman

Mahmood P. Manji
Deputy Chairman

Nasim M. Devji
Managing Director

Elizabeth W. Hinga
Secretary

Consolidated Statement of Changes in Equity

for the year ended 31 December 2004

	Notes	Share capital Shs '000	Share premium Shs '000	Capital reserve Shs '000	Retained earnings Shs '000	Proposed dividends Shs '000	Total Shs '000
Year ended 31 December 2003							
At start of year							
As previously stated		318,000	16,320	115,170	772,173	47,700	1,269,363
Prior year adjustment							
- Under provision of prior years' tax	(i)	-	-	-	(13,848)	-	(13,848)
As restated		318,000	16,320	115,170	758,325	47,700	1,255,515
Transfer of excess depreciation		-	-	(504)	504	-	-
Deferred tax on excess depreciation		-	-	151	(151)	-	-
Translation differences	(ii)	-	-	(3,252)	(8,446)	-	(11,698)
Net losses not recognised in the profit and loss account		-	-	(3,605)	(8,093)	-	(11,698)
Bonus shares issued		79,500	-	-	(79,500)	-	-
Profit for the year		-	-	-	139,241	-	139,241
Dividends:							
- Final for 2002 paid		-	-	-	-	(47,700)	(47,700)
- Proposed final for 2003	7	-	-	-	(69,563)	69,563	-
At end of year		397,500	16,320	111,565	740,410	69,563	1,335,358
Year ended 31 December 2004							
At start of year							
As previously stated		397,500	16,320	111,565	754,258	69,563	1,349,206
Prior year adjustment							
- Under provision of prior years' tax	(i)	-	-	-	(13,848)	-	(13,848)
As restated		397,500	16,320	111,565	740,410	69,563	1,335,358
Transfer of excess depreciation		-	-	(491)	491	-	-
Deferred tax on excess depreciation		-	-	147	(147)	-	-
Translation differences	(ii)	-	-	3,930	3,349	-	7,279
Net gains not recognised in the profit and loss account		-	-	3,586	3,693	-	7,279
Profit for the year		-	-	-	163,998	-	163,998
Dividends:							
- Final for 2003 paid		-	-	-	-	(69,563)	(69,563)
- Proposed final for 2004	7	-	-	-	(69,563)	69,563	-
At end of year		397,500	16,320	115,151	838,538	69,563	1,437,072

(i) The prior year adjustment represents the correction of an error in respect of tax recoverable recognised in prior years.

(ii) These differences arise on translation of opening reserves in associated companies at year end exchange rates.

Diamond Trust Bank Kenya Limited
Bank Statement of Changes in Equity
for the year ended 31 December 2004

	Notes	Share capital Shs '000	Share premium Shs '000	Capital reserve Shs '000	Retained earnings Shs '000	Proposed dividends Shs '000	Total Shs '000
Year ended 31 December 2003							
At start of year							
As previously stated		318,000	16,320	27,295	689,478	47,700	1,098,793
Prior year adjustment							
- Under provision of prior years' tax (i)		-	-	-	(13,848)	-	(13,848)
As restated		318,000	16,320	27,295	675,630	47,700	1,084,945
Transfer of excess depreciation		-	-	(504)	504	-	-
Deferred tax on excess depreciation		-	-	151	(151)	-	-
Net gain/(losses) not recognised in the profit and loss account		-	-	(353)	353	-	-
Bonus shares issued		79,500	-	-	(79,500)	-	-
Profit for the year		-	-	-	123,775	-	123,775
Dividends:							
- Final for 2002 paid		-	-	-	-	(47,700)	(47,700)
- Proposed final for 2003 7		-	-	-	(69,563)	69,563	-
At end of year		397,500	16,320	26,942	650,695	69,563	1,161,020
Year ended 31 December 2004							
At start of year							
As previously stated		397,500	16,320	26,942	664,543	69,563	1,174,868
Prior year adjustment							
- Under provision of prior years' tax (i)		-	-	-	(13,848)	-	(13,848)
As restated		397,500	16,320	26,942	650,695	69,563	1,161,020
Transfer of excess depreciation		-	-	(491)	491	-	-
Deferred tax on excess depreciation		-	-	147	(147)	-	-
Net gains/(losses) not recognised in the profit and loss account		-	-	(344)	344	-	-
Profit for the year		-	-	-	131,666	-	131,666
Dividends:							
- Final for 2003 paid		-	-	-	-	(69,563)	(69,563)
- Proposed final for 2004 7		-	-	-	(69,563)	69,563	-
At end of year		397,500	16,320	26,598	713,142	69,563	1,223,123

(i) The prior year adjustment represents the correction of an error in respect of tax recoverable recognised in prior years.

Consolidated Cash Flow Statement

for the year ended 31 December 2004

	Notes	2004 Shs '000	2003 Shs '000
Cash flows from operating activities			
Interest receipts		705,697	583,470
Interest payments		(153,491)	(138,645)
Net fee and commission receipts		178,424	104,824
Other income received		74,517	79,376
Recoveries from loans previously written off	14	9,089	7,969
Payments to employees and suppliers		(498,412)	(372,900)
Income tax paid		(92,814)	-
Cash flows from operating activities before changes in operating assets and liabilities		223,010	264,094
Changes in operating assets and liabilities:			
- Cash reserve requirement		(150,862)	(89,216)
- Treasury bills purchased under repo agreement		64,992	(64,992)
- Government securities		504,975	359,136
- Loans and advances		(2,290,000)	(2,227,886)
- Other assets		(23,913)	(98,356)
- Customer deposits		2,282,495	1,948,073
- Other liabilities		(5,622)	201,813
Net cash from operating activities		605,075	292,666
Cash flows from investing activities			
Purchase of property and equipment	16	(125,417)	(47,521)
Purchase of intangible assets	17	(62,575)	(2,934)
Proceeds from sale of property and equipment		573	3,293
Proceeds from sale of investments		-	679
Dividend received		2,162	2,549
Net cash used in investing activities		(185,257)	(43,934)
Cash flows from financing activities			
Dividends paid		(69,563)	(47,700)
Net cash used in financing activities		(69,563)	(47,700)
Net increase in cash and cash equivalents		350,255	201,032
Cash and cash equivalents at start of year	31	1,755,688	1,554,656
Cash and cash equivalents at end of year	31	2,105,943	1,755,688

The principal accounting policies adopted in the preparation of these financial statements are set out below:

Basis of preparation

The financial statements are prepared in compliance with International Financial Reporting Standards (IFRS). The financial statements are presented in Kenya Shillings (Shs) and are prepared under the historical cost convention as modified by the revaluation of properties and available-for-sale investment securities.

The preparation of financial statements in conformity with IFRS requires the use of estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. Although these estimates are based on the directors' best knowledge of current events and actions, actual results ultimately may differ from those estimates.

Consolidation

The consolidated financial statements comprise the financial statements of Diamond Trust Bank Kenya Limited and its subsidiary, Premier Savings and Finance Limited, made up to 31 December. All intercompany transactions, balances and unrealised surpluses and deficits on transactions between the group companies are eliminated. The accounting policies for the subsidiary are consistent with the policies adopted by the bank.

Associates

Investments in associates are accounted for by the equity method of accounting. These are undertakings in which the group has between 20% and 50% of the voting rights, and over which the group exercises significant influence, but which it does not control. Provisions are recorded for long term impairment in value.

Equity accounting involves recognising in the income statement the group's share of the associates' profit or loss for the year. The group's interest in the associates is carried in the balance sheet at an amount that reflects its share of the net assets of the associates and includes goodwill at acquisition.

A listing of the group's associates is shown in Note 12.

Investment in subsidiary

The investment in the subsidiary is stated in the bank's balance sheet at cost less provision for impairment losses. Where, in the opinion of the directors, there has been impairment in the value of an investment, the loss is recognised as an expense in the period in which the impairment is identified.

On disposal of an investment, the difference between the net disposal proceeds and the carrying amount is charged or credited to the profit and loss account.

Interest income

Interest income is recognised in the profit and loss account in the period in which it is earned. Dividends from investments are recognised when declared. Interest income includes coupons earned on Treasury bonds and accrued discounts on Treasury bills.

Property and equipment

Property and equipment is initially recorded at cost. Leasehold buildings are subsequently shown at market value, based on periodic valuations by external independent valuers, less subsequent depreciation. All other property and equipment is stated at historical cost less depreciation.

Increases in the carrying amount arising on revaluation are credited to a revaluation reserve. Decreases that offset previous increases of the same asset are charged against the revaluation reserve; all other decreases are charged to the profit and loss account. Each year the difference between depreciation based on the revalued carrying amount of the asset (the depreciation charged to the profit and loss account) and depreciation based on the asset's original cost is transferred from the revaluation reserve to retained earnings.

Depreciation is calculated on a straight line basis by reference to the expected useful lives of the assets concerned. The rates used are as follows:

Leasehold buildings	Remaining period of lease
Leasehold improvements	Remaining period of lease
Motor vehicles	25%
Furniture, fittings and equipment	12.5%, 20% and 25%

Property and equipment are periodically reviewed for impairment. Where the carrying amount of an asset is greater than its estimated recoverable amount, it is written down immediately to its recoverable amount.

Intangible assets

Costs associated with maintaining computer software programmes are recognised as an expense as incurred. Costs that are directly associated with the production or procurement of identifiable and unique software products controlled by the company, and that will probably generate economic benefits exceeding costs beyond one year, are recognised as intangible assets. Direct costs include the software implementation consultancy costs and an appropriate portion of relevant overheads.

Government securities

The group classifies its Government securities into the following two categories: held-to-maturity and available-for-sale assets. Government securities with fixed maturity where management has both the intent and the ability to hold to maturity are classified as held-to-maturity. Government securities, which may be sold in response to needs for liquidity or changes in interest rates, are classified as available-for-sale. Management determines the appropriate classification of its investments at the time of the purchase.

Government securities are initially recognised at cost. Available-for-sale securities are subsequently re-measured at fair value based on quoted prices. Unrealised gains and losses arising from changes in the fair value of securities classified as available-for-sale are recognised in the profit and loss account. Held-to-maturity investments are carried at amortised cost.

Impairment of this security occurs if its carrying amount is greater than its estimated recoverable amount. The amount of the impairment loss for assets carried at amortised cost is calculated as the difference between the asset's carrying amount and the present value of expected future cash flows discounted at the financial asset's contractual effective interest rate.

Loans and advances and provisions for loan impairment

Loans and advances are recognised when cash is advanced to borrowers.

A provision for loan impairment is established if there is objective evidence that the group will not be able to collect all amounts due according to the contractual terms of loans. The amount of the provision is the difference between the carrying amount and the recoverable amount, including amounts recoverable from guarantees and collateral.

A general provision for loan impairment is established to cover losses that are judged to the present in the lending portfolio at the balance sheet date, but which have not been specifically identified as such. This provision is based on the directors' assessment of the latent risk of default known to be present in the portfolio of the bank's advances.

When a loan is deemed uncollectable, it is written off against the related provision for impairments. Subsequent recoveries are credited to the provision for loan losses in the profit and loss account. If the amount of the impairment subsequently decreases due to an event occurring after the write-down, the release of the provision is credited as a reduction of the provision for impairment in the profit and loss account.

Translation of foreign currencies

Transactions during the year are converted into Kenya Shillings at rates ruling at the transaction dates. Assets and liabilities at the balance sheet date which are expressed in foreign currencies are translated into Kenya Shillings at the rates ruling at that date. The resulting differences from conversion and translation are dealt with in the profit and loss account in the year in which they arise. Exchange differences resulting from translation of opening net assets of foreign associates are dealt with in reserves.

Income tax

Current income tax is the amount of income tax payable on the profit for the year determined in accordance with the Kenyan Income Tax Act.

Deferred income tax is provided in full, using the liability method, for all temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes. Tax rates enacted or substantively enacted at the balance sheet date are used to determine deferred tax.

Deferred tax assets are recognised only to the extent that it is probable that future taxable profits will be available against which temporary differences can be utilised.

Employee entitlements

Employee entitlements to gratuity and long service awards are recognised when they accrue to employees. A provision is made for the liability for such entitlements as a result of services rendered by employees up to the balance sheet date.

The monetary liability for employees' accrued annual leave entitlement at the balance sheet date is recognised as an expense accrual.

Retirement benefit obligations

The group operates a defined contribution retirement scheme, the assets of which are held in a separate trustee-administered fund. The group's contributions to the defined contribution scheme are charged to the profit and loss account in the year to which they relate.

Dividends payable

Dividends on ordinary shares are charged to equity in the period in which they are declared. Proposed dividends are shown as a separate component of equity until approved.

Forward foreign exchange contracts

Forward foreign exchange contracts are carried at their fair value. Gains and losses on forward foreign exchange contracts are included in net trading income as they arise.

Acceptances, guarantees and letters of credit

Acceptances, guarantees and letters of credit are accounted for as off-balance sheet transactions and disclosed as contingent liabilities.

Comparatives

Where necessary, comparative figures have been adjusted or extended to conform with changes in presentation in the current year.

Notes forming part of the Financial Statements

for the year ended 31 December 2004

	2004 Shs '000	2003 Shs '000
1. INTEREST INCOME		
Loans and advances	636,375	408,297
Government securities	59,465	150,786
Placements and bank balances	16,425	9,994
	712,265	569,077
2. INTEREST EXPENSE		
Customer deposits	171,494	133,221
Deposits due to banking institutions	2,907	4,700
	174,401	137,921
3. OTHER OPERATING INCOME		
Rental income	9,140	8,987
Gain on disposal of Government securities	4,258	32,047
Unrealised fair value (loss)/gain on revaluation of Government securities	(22,392)	7,388
(Loss)/gain on sale of fixed assets	(75)	1,242
Other	1,231	1,329
	(7,838)	50,993
4. OTHER OPERATING EXPENSES		
The following items are included within operating expenses:		
Staff costs (Note 5)	239,837	187,953
Depreciation (Note 17)	32,426	22,315
Operating lease rentals	36,712	31,765
Contribution to Deposit Protection Fund	8,233	6,238
Auditors' remuneration	2,500	2,300
5. STAFF COSTS		
Included within staff costs are:		
Retirement benefit costs:		
- Defined contribution scheme	10,932	13,183
- National Social Security Fund	305	375

The number of persons employed by the group (excluding associates) at the year end was 177 (2003: 133).

Diamond Trust Bank Kenya Limited
Notes forming part of the Financial Statements
for the year ended 31 December 2004 (Continued)

6. INCOME TAX EXPENSE	2004 Shs '000	2003 Shs '000
Current income tax	60,563	46,341
Deferred income tax (Note 15)	691	9,890
Share of income tax expense of associates (Note 12)	14,983	8,634
	76,237	64,865
The tax on the group's profit before tax differs from the theoretical amount that would arise using the basic tax rate as follows:		
Profit before tax	240,235	204,106
Tax calculated at the statutory tax rate of 30% (2003: 30%)	72,071	61,232
Tax effect of:		
Income not subject to tax	(688)	(749)
Expenses not deductible for tax purposes	4,854	4,382
Tax charge	76,237	64,865
7. EARNINGS PER SHARE		
Basic earnings per share are calculated on the profit attributable to shareholders of Shs 163,998,000 (2003: Shs 139,241,000) and on the weighted average number of ordinary shares outstanding during the year.		
Net profit attributable to shareholders (Shs thousands)	163,998	139,241
Weighted average number of ordinary shares in issue (thousands)	99,375	91,094
Basic and diluted earnings per share (Shs per share)	1.65	1.53

There were no potentially dilutive shares outstanding at 31 December 2004 or 2003. Diluted earnings per share is therefore the same as basic earnings per share.

Notes forming part of the Financial Statements

for the year ended 31 December 2004 (Continued)

8. DIVIDENDS PER SHARE

Proposed dividends are accounted for as a separate component of equity until they have been ratified at an annual general meeting. At the annual general meeting to be held on 24 May 2005, a final dividend in respect of the year ended 31 December 2004 of Shs 0.70 per share amounting to a total of Shs 69,562,500 is to be proposed.

The total dividend for the year is Shs 0.70 per share (2003: Shs 0.70), amounting to a total of Shs 69,562,500 (2003: Shs 69,562,500).

Payment of dividends is subject to withholding tax at a rate of 5% for residents and 10% for non-resident shareholders.

9. CASH AND BALANCES WITH CENTRAL BANK OF KENYA	2004	2003
	Shs '000	Shs '000
Group and bank		
Cash in hand	81,746	48,235
Balances with Central Bank of Kenya	1,119,925	403,907
Treasury bills under repo purchase agreement	-	64,992
	1,201,671	517,134
10. GOVERNMENT SECURITIES		
Group and bank		
Available-for-sale		
Treasury bonds	197,483	456,137
Treasury bills	1,041,400	2,066,134
	1,238,883	2,522,271

Treasury bills and bonds are debt securities issued by the Republic of Kenya. Treasury bills and bonds are classified as available-for-sale investments. As at 31 December 2004, Government securities amounting to Shs 1,094,489,000 (2003: Shs 1,847,392,000) were within 90 days to maturity.

11. DEPOSITS AND BALANCES DUE FROM BANKING INSTITUTIONS	2004	2003
	Shs '000	Shs '000
Group and bank		
Due from other banks	821,728	179,022

All deposits due from banking institutions are due within 90 days.

Diamond Trust Bank Kenya Limited
Notes forming part of the Financial Statements
for the year ended 31 December 2004 (Continued)

12. INVESTMENTS IN SUBSIDIARY AND ASSOCIATES	2004 Shs '000	2003 Shs '000
Group		
At start of year	167,709	163,941
Share of results before tax	49,477	26,649
Share of tax (Note 6)	(14,983)	(8,634)
Dividend paid	(2,162)	(2,549)
Translation differences	7,279	(11,698)
At end of year	207,320	167,709

The subsidiary and the associates are listed below together with the interests held.

	Beneficial Ownership	Group		Bank	
		2004 Shs '000	2003 Shs '000	2004 Shs '000	2003 Shs '000
Subsidiary					
Premier Savings and Finance Limited	100%	-	-	29,137	29,137
Associates					
ComTech Systems Limited	29%	1	1	1	1
Diamond Trust Bank Uganda Limited	27%	74,446	58,854	25,000	25,000
Diamond Trust Bank Tanzania Limited	33%	132,872	108,853	25,000	25,000
Services and Systems Limited	40%	1	1	1	1
		207,320	167,709	50,002	50,002
Total investment in subsidiary and associates		207,320	167,709	79,139	79,139

The subsidiary, which is incorporated in Kenya, is now dormant.

13. OTHER ASSETS	2004 Shs '000	2003 Shs '000
Group and bank		
Uncleared effects	103,653	57,031
Prepaid operating lease rentals (Note 18)	4,417	4,606
Foreclosed property	-	25,000
Items in the course of collection	65,571	69,088
Others	57,390	51,582
	231,031	207,307

Notes forming part of the Financial Statements

for the year ended 31 December 2004 (Continued)

14. LOANS AND ADVANCES TO CUSTOMERS	2004 Shs '000	2003 Shs '000
Group and bank		
Hire purchase	1,473,145	642,349
Other loans and advances	5,832,430	4,372,866
Gross loans and advances	7,305,575	5,015,215
Less: Provision for impairment of loans and advances		
Specific provision	96,382	83,077
General provision	72,000	50,000
Net loans and advances	7,137,193	4,882,138

Movements in provision for losses on loans and advances are as follows:

	Specific provision Shs '000	General provision Shs '000
Year ended 31 December 2003		
At start of year	58,064	26,200
New and increased provision	30,855	23,800
Recoveries of amounts previously provided	(1,922)	-
Loans written off during the year as uncollectable	(3,920)	-
At end of year	83,077	50,000
Year ended 31 December 2004		
At start of year	83,077	50,000
New and increased provision	32,111	22,000
Recoveries of amounts previously provided	(10,423)	-
Loans written off during the year as uncollectable	(8,383)	-
At end of year	96,382	72,000

Diamond Trust Bank Kenya Limited
Notes forming part of the Financial Statements
for the year ended 31 December 2004 (Continued)

14. LOANS AND ADVANCES TO CUSTOMERS (CONTINUED)

	Specific provision Shs '000	General provision Shs '000	Total Shs '000
Charge to profit and loss account			
Year ended 31 December 2003			
New and increased provision	30,855	23,800	54,655
Recoveries of amounts previously provided	(1,922)	-	(1,922)
Net increase in provision	28,933	23,800	52,773
Amounts recovered previously written off	(7,969)	-	(7,969)
Net charge to profit and loss account	20,964	23,800	44,764
Year ended 31 December 2004			
New and increased provision	32,111	22,000	54,111
Recoveries of amounts previously provided	(10,423)	-	(10,423)
Net increase in provision	21,688	22,000	43,688
Amounts recovered previously written off	(9,089)	-	(9,089)
Loans written off through profit and loss account	943	-	943
Net charge to profit and loss account	13,542	22,000	35,542

All loans have been written down to their estimated recoverable amount. The aggregate amount of non-performing loans, net of provision for impairment losses, at 31 December 2004, was Shs 18,291,000 (2003: Shs 44,738,000).

Analysis by economic sectors

Economic sector risk concentrations within the customer loan portfolio were as follows:

	2004 Shs '000	2003 Shs '000	2004 %	2003 %
Agriculture, hunting, fishing and forestry	408,085	377,776	6	8
Manufacturing	1,024,330	497,441	14	10
Wholesale and retail trade	1,876,097	1,309,070	26	26
Transport and communications	1,258,801	712,289	17	14
Business services	137,836	85,171	2	2
Social, community & personal services	26,119	15,604	0	0
Real estate	876,713	645,594	12	13
Other	1,697,594	1,372,270	23	27
	7,305,575	5,015,215	100	100

Notes forming part of the Financial Statements

for the year ended 31 December 2004 (Continued)

14. LOANS AND ADVANCES TO CUSTOMERS (CONTINUED)

Included in the provision for impairment for loan losses as at 31 December 2004 are amounts of Shs 15,217,000 (2003: Shs 7,412,000) attributable to overdue receivables under hire purchase contracts.

15. DEFERRED INCOME TAX

Group and bank

Deferred income tax is calculated, in full, on all temporary differences under the liability method using a principal tax rate of 30% (2003: 30%). The movement on the deferred tax account is as follows:

	2004 Shs '000	2003 Shs '000
At start of year	16,996	26,886
Income statement charge (Note 6)	(691)	(9,890)
At end of year	16,305	16,996

Consolidated deferred income tax assets and liabilities, deferred tax charge in the profit and loss account and deferred tax charge in equity are attributable to the following items:

	1.1.2004 Shs '000	Charged to profit & loss Shs '000	31.12.2004 Shs '000
Deferred income tax liabilities			
Accelerated income tax depreciation	(5,363)	8,183	2,820
Revaluation surplus	11,549	(147)	11,402
	6,186	8,036	14,222
Deferred income tax assets			
Provisions	(23,182)	(7,345)	(30,527)
Net deferred income tax asset	(16,996)	691	(16,305)

Diamond Trust Bank Kenya Limited
Notes forming part of the Financial Statements
for the year ended 31 December 2004 (Continued)

16. PROPERTY AND EQUIPMENT

Group and bank	Leasehold buildings Shs '000	Leasehold improvements Shs '000	Fixtures fittings & equipment Shs '000	Motor vehicles Shs '000	Total Shs '000
Cost or valuation					
At 1 January 2004	102,076	16,490	181,769	20,092	320,427
Reclassification to intangible assets (Note 17)	-	-	(30,887)	-	(30,887)
As restated	102,076	16,490	150,882	20,092	289,540
Additions	-	14,899	109,188	1,330	125,417
Disposals	-	-	(1,869)	(525)	(2,394)
At 31 December 2004	102,076	31,389	258,201	20,897	412,563
Depreciation					
At 1 January 2004	3,386	2,811	128,448	18,856	153,501
Reclassification to intangible assets (Note 17)	-	-	(25,831)	-	(25,831)
As restated	3,386	2,811	102,617	18,856	127,670
Charge for the year	1,681	4,078	25,984	683	32,426
On disposals	-	-	(1,221)	(525)	(1,746)
At 31 December 2004	5,067	6,889	127,380	19,014	158,350
Net book amount					
At 31 December 2004	97,009	24,500	130,821	1,883	254,213
At 31 December 2003	98,690	13,679	48,265	1,236	161,870

Land and buildings were revalued as at 31 December 2001, by Mohamed Samji, an independent valuer. Valuations were made on the basis of the open market value. The book values of the properties were adjusted to the revaluations and the resultant surplus, net of deferred tax, was credited to capital reserve in shareholders' equity.

If leasehold buildings were stated on the historical cost basis, the amounts would be as follows:

	2004 Shs '000	2003 Shs '000
Cost	62,437	62,437
Accumulated depreciation	(3,426)	(2,239)
Net book value	59,011	60,198

Notes forming part of the Financial Statements

for the year ended 31 December 2004 (Continued)

	2004 Shs '000	2003 Shs '000
17. INTANGIBLE ASSETS		
At start of year	5,056	-
Reclassification from property and equipment	-	5,530
Additions	62,575	2,934
Amortisation charge for the year	(8,252)	(3,408)
At end of year	59,379	5,056
Cost	78,542	30,887
Accumulated amortisation	(19,163)	(25,831)
Net book value	59,379	5,056
18. PREPAID OPERATING LEASE RENTALS		
At start of year	4,606	6,426
Disposal	-	(1,594)
Amortisation charge for the year	(189)	(226)
At end of year	4,417	4,606
Cost	6,701	6,701
Accumulated amortisation	(2,284)	(2,095)
	4,417	4,606
19. CUSTOMER DEPOSITS		
Group and bank		
Current and demand deposits	1,297,563	1,263,035
Savings accounts	889,487	765,110
Fixed deposit accounts	6,644,298	4,499,798
Unredeemed bearer certificates of deposit	208	208
	8,831,556	6,528,151
20. DEPOSITS AND BALANCES DUE TO BANKING INSTITUTIONS		
Group and bank		
Deposits due to banking institutions	372,003	326,684
Current account balances due to banking institutions	100,318	7,422
	472,321	334,106

Diamond Trust Bank Kenya Limited
Notes forming part of the Financial Statements
for the year ended 31 December 2004 (Continued)

21. OTHER LIABILITIES	Group		Bank	
	2004 Shs '000	2003 Shs '000	2004 Shs '000	2003 Shs '000
Due to subsidiary company	-	-	79,562	79,562
Gratuity provision	29,753	27,269	29,753	27,269
Outstanding bankers' cheques	112,870	205,635	112,870	205,635
Others, including expense accruals	281,366	193,948	281,366	193,948
	423,989	426,852	503,551	506,414

Movement in gratuity provision is as follows:

	Shs '000
At start of year	27,269
Increase during the year	2,484
At end of year	29,753

22. SHARE CAPITAL	Number of shares (Thousands)	Ordinary shares Shs '000	Share premium Shs '000
Balance at 1 January 2003	79,500	318,000	16,320
Bonus shares issued during the year	19,875	79,500	-
Balance at 31 December 2003	99,375	397,500	16,320
Balance at 1 January 2004	99,375	397,500	16,320
Balance at 31 December 2004	99,375	397,500	16,320

The total authorised number of ordinary shares is 125,000,000 (2003: 125,000,000) with a par value of Shs 4 per share.

Notes forming part of the Financial Statements

for the year ended 31 December 2004 (Continued)

23. CAPITAL RESERVES	Group		Bank	
	2004 Shs '000	2003 Shs '000	2004 Shs '000	2003 Shs '000
Revaluation reserve				
At start of year	26,942	27,295	26,942	27,295
Transfer of excess depreciation and deferred tax thereon	(344)	(353)	(344)	(353)
At end of year	26,598	26,942	26,598	26,942
Other				
Bonus shares issued to the bank by subsidiary and associates				
At start of year	84,623	87,875	-	-
Translation adjustment	3,930	(3,252)	-	-
At end of year	88,553	84,623	-	-
	115,151	111,565	26,598	26,942

24. OFF BALANCE SHEET FINANCIAL INSTRUMENTS, CONTINGENT LIABILITIES AND COMMITMENTS

In common with other banks, the bank conducts business involving acceptances, guarantees, performance bonds and letters of credit. The majority of these facilities are offset by corresponding obligations of third parties. In addition, there are other off-balance sheet financial instruments including forward contracts for the purchase and sale of foreign currencies, the nominal amounts for which are not reflected in the consolidated balance sheet.

	2004 Shs '000	2003 Shs '000
Contingent liabilities		
Acceptances and letters of credit	631,973	386,235
Guarantee and performance bonds	233,047	131,710
	865,020	517,945

Nature of contingent liabilities

An acceptance is an undertaking by a bank to pay a bill of exchange drawn on a customer. The bank expects the acceptances to be presented, and reimbursement by the customer is normally immediate. Letters of credit commit the bank to make payments to third parties, on production of documents, which are subsequently reimbursed by customers.

Guarantees are generally written by a bank to support performance by a customer to third parties. The bank will only be required to meet these obligations in the event of the customer's default.

Diamond Trust Bank Kenya Limited
Notes forming part of the Financial Statements
for the year ended 31 December 2004 (Continued)

24. OFF BALANCE SHEET FINANCIAL INSTRUMENTS, CONTINGENT LIABILITIES AND COMMITMENTS (CONTINUED)

Commitments

	2004 Shs '000	2003 Shs '000
Undrawn credit lines and other commitments to lend	2,015,202	901,490
Foreign exchange forward contracts	157,961	43,355
Foreign exchange spot transactions	267,628	101,506
Operating lease rentals	120,539	125,832
Capital commitments	-	20,225
	2,561,330	1,192,408

Nature of commitments

Commitments to lend are agreements to lend to a customer in future subject to certain conditions. Such commitments are normally made for a fixed period.

Foreign exchange forward contracts are agreements to buy or sell a specified quantity of foreign currency, usually on a specified future date at an agreed rate.

25. BUSINESS SEGMENTS

The major part of the business of the group is in Kenya and falls under the category of banking, which accounts for more than 90% of the total income.

Notes forming part of the Financial Statements

for the year ended 31 December 2004 (Continued)

26. INTEREST RATE RISK

The group is exposed to various risks associated with the effects of fluctuations in the levels of market interest rate on its financial position and cash flows. The group has a policy of regularly reviewing and re-pricing interest rates.

The table below summarises the exposure to interest rate risks. Included in the table are the group's assets and liabilities at carrying amounts, categorised by the earlier of contractual repricing or maturity dates. The group does not bear an interest rate risk on off balance sheet items. All figures are in thousands of Kenya Shillings.

At 31 December 2004	Up to 1 month	1-3 months	3-12 months	1-5 years	Non- interest bearing	Total
ASSETS						
Cash and bank balances with						
Central Bank of Kenya	-	-	-	-	1,201,671	1,201,671
Government securities	608,660	485,829	144,394	-	-	1,238,883
Deposits and balances due						
from banking institutions	743,082	78,646	-	-	-	821,728
Other assets	-	-	-	-	231,031	231,031
Advances to customers	7,090,749	12,263	-	-	34,181	7,137,193
Investments in associates	-	-	-	-	207,320	207,320
Deferred income tax asset	-	-	-	-	16,305	16,305
Property and equipment	-	-	-	-	254,213	254,213
Intangible assets	-	-	-	-	59,379	59,379
Total assets	8,442,491	576,738	144,394	-	2,004,100	11,167,723
LIABILITIES & EQUITY						
Customer deposits	4,238,940	3,015,948	1,482,880	93,580	208	8,831,556
Deposits and balances due						
to banking institutions	151,245	321,076	-	-	-	472,321
Income tax payable	-	-	-	-	2,785	2,785
Other liabilities	-	-	-	-	423,989	423,989
Shareholders' funds	-	-	-	-	1,437,072	1,437,072
Total liabilities & equity	4,390,185	3,337,024	1,482,880	93,580	1,864,054	11,167,723
Interest sensitivity gap	4,052,306	(2,760,286)	(1,338,486)	(93,580)	140,046	-
At 31 December 2003						
Total assets	5,495,740	1,556,125	460,043	58,544	1,089,051	8,659,503
Total liabilities and equity	4,478,098	1,942,988	343,724	80,143	1,814,550	8,659,503
Interest sensitivity gap	1,017,642	(386,863)	116,319	(21,599)	(725,499)	-

Diamond Trust Bank Kenya Limited
Notes forming part of the Financial Statements
for the year ended 31 December 2004 (Continued)

27. LIQUIDITY RISK

The group is exposed to daily calls on its available cash resources from deposit repayments, current account withdrawals, loan draw downs and crystallisation of contingent liabilities. The group manages the level of maturing funds available to meet such calls.

The table below analyses assets and liabilities into relevant maturity groupings based on the remaining period at 31 December 2004 to the contractual maturity date. All figures are in thousands of Kenya Shillings.

At 31 December 2004	Up to 1 month	1-3 months	3-12 months	1-5 years	Over 5 years	Total
ASSETS						
Cash and bank balances with Central Bank of Kenya	889,178	212,159	94,378	1,776	4,180	1,201,671
Government securities	608,660	485,829	144,394	-	-	1,238,883
Deposits and balances due from banking institutions	743,082	78,646	-	-	-	821,728
Other assets	231,031	-	-	-	-	231,031
Advances to customers	399,538	1,618,482	2,832,580	2,265,366	21,227	7,137,193
Investments in associates	-	-	-	-	207,320	207,320
Deferred income tax asset	-	-	-	16,305	-	16,305
Property and equipment	-	-	-	-	254,213	254,213
Intangible assets	-	-	-	59,379	-	59,379
Total assets	2,871,489	2,395,116	3,071,352	2,342,826	486,940	11,167,723
LIABILITIES & EQUITY						
Customer deposits	4,239,148	3,015,948	1,482,880	27,901	65,679	8,831,556
Deposits and balances due to banking institutions	151,245	321,076	-	-	-	472,321
Income tax payable	-	-	2,785	-	-	2,785
Other liabilities	423,989	-	-	-	-	423,989
Shareholders' funds	-	-	-	-	1,437,072	1,437,072
Total liabilities & equity	4,814,382	3,337,024	1,485,665	27,901	1,502,751	11,167,723
Net liquidity gap	(1,942,893)	(941,908)	1,585,687	2,314,925	(1,015,811)	-
At 31 December 2003						
Total assets	1,874,648	2,430,935	2,877,859	1,096,545	379,516	8,659,503
Total liabilities and equity	4,913,768	1,949,569	380,385	80,423	1,335,358	8,659,503
Net liquidity gap	(3,039,120)	481,366	2,497,474	1,016,122	(955,842)	-

The matching and controlled mismatching of the maturities and interest rates of assets and liabilities is fundamental to the management of the bank. It is unusual for banks ever to be completely matched since business transacted is often of uncertain terms and of different types. An unmatched position potentially enhances profitability, but can also increase the risk of losses.

The maturities of assets and liabilities and the ability to replace, at an acceptable cost, interest-bearing liabilities as they mature, are important factors in assessing the liquidity of the bank and its exposure to changes in interest rates and exchange rates.

Notes forming part of the Financial Statements

for the year ended 31 December 2004 (Continued)

28. CREDIT RISK

The group takes on exposure to credit risk which is the risk that a counter party will be unable to pay amounts in full when due. The group structures the levels of credit risk it undertakes by placing limits on the amount of risk accepted in relation to one borrower, or a group of borrowers.

Exposure to credit risk is managed through regular analysis of the ability of borrowers' interest and capital repayment obligations and by changing these lending limits where appropriate. Exposure to credit risk is also managed in part by obtaining collateral and corporate and personal guarantees.

29. CURRENCY RISK

The group takes on exposure to effects of fluctuations in the prevailing foreign currency exchange rates on its financial position and cash flows.

The group had the following significant foreign currency positions (all amounts expressed in thousands of Kenya Shillings):

At 31 December 2004	USD	GBP	Euro	Other	Total
Assets					
Cash and balances with Central Bank of Kenya	28,309	4,984	2,747	39	36,079
Deposits and balances due from banking institutions	533,285	47,445	83,162	12,729	676,621
Other assets	22,022	14,985	27,339	1,225	65,571
Loans and advances to customers	1,049,547	76,011	53,570	-	1,179,128
Total assets	1,633,163	143,425	166,818	13,993	1,957,399
Liabilities					
Customer deposits	1,474,518	226,739	91,221	5,358	1,797,836
Deposits and balances due to banking institutions	28,608	44,590	178	10,542	83,918
Total liabilities	1,503,126	271,329	91,399	15,900	1,881,754
Net balance sheet position	130,037	(127,904)	75,419	(1,907)	75,645
Net off balance sheet position	(157,960)	136,816	-	-	(21,144)
Overall net position	(27,923)	8,912	75,419	(1,907)	54,501
At 31 December 2003	USD	GBP	Euro	Other	Total
Total assets	1,038,163	121,551	176,665	61,821	1,398,200
Total liabilities	1,055,513	116,450	119,864	10,203	1,302,030
Net balance sheet position	(17,350)	5,101	56,801	51,618	96,170
Net off balance sheet position	-	6,555	(36,800)	-	(30,245)
Overall net position	(17,350)	11,656	20,001	51,618	65,925

Diamond Trust Bank Kenya Limited

Notes forming part of the Financial Statements
for the year ended 31 December 2004 (Continued)

30. FAIR VALUES AND EFFECTIVE INTEREST RATES OF FINANCIAL ASSETS AND LIABILITIES

In the opinion of the directors, the fair values of the group's financial assets and liabilities approximate the respective carrying amounts, due to the generally short periods to contractual repricing or maturity dates as set out in Note 27 and 28.

The effective interest rates for the principal financial assets and liabilities at 31 December 2004 and 2003 were as follows:

	2004		2003	
	In Shs	In US\$	In Shs	In US\$
Assets				
Government securities	6.1%	-	1.9%	-
Deposits with banking institutions	11.1%	0.9%	-	0.4%
Loans and advances to customers	11.9%	8.4%	11.3%	6.9%
Liabilities				
Customer deposits	3.7%	2.5%	1.7%	1.1%
Deposits due to banking institutions	4.7%	0.3%	0.8%	1.9%

31. ANALYSIS OF CASH AND CASH EQUIVALENTS AS SHOWN IN THE CASH FLOW STATEMENT

	2004 Shs '000	2003 Shs '000
Cash and balances with Central Bank of Kenya (Note 10)	1,201,671	517,134
Cash reserve requirement	(539,624)	(388,762)
Treasury bills under repo purchase agreement	-	(64,992)
Government securities (Note 11)	1,094,489	1,847,392
Deposits and balances due from banking institutions (Note 12)	821,728	179,022
Deposits and balances due to banking institutions (Note 21)	(472,321)	(334,106)
	2,105,943	1,755,688

For the purposes of the cash flow statement, cash and cash equivalents comprise balances with less than 90 days maturity from the date of acquisition including: cash and balances with Central Bank, treasury bills and bonds and amounts due from other banks. Cash and cash equivalents exclude the cash reserve requirement held with the Central Bank of Kenya.

Banks are required to maintain a prescribed minimum cash balance with the Central Bank of Kenya that is not available to finance the bank's day-to-day activities. The amount is determined as 6% of the average outstanding customer deposits over a cash reserve cycle period of one month.

32. RELATED PARTY TRANSACTIONS

	2004 Shs '000	2003 Shs '000
Directors' remuneration:		
- fees	2,060	1,260
- other	18,683	14,358
	20,743	15,618

Notes forming part of the Financial Statements

for the year ended 31 December 2004 (Continued)

32. RELATED PARTY TRANSACTIONS (CONTINUED)

At 31 December 2004 advances to directors and companies associated to directors amounted to Shs 230,931,000 (2003: Shs 214,778,000). These loans were given on commercial terms and at market rates.

At 31 December 2004 advances to employees amounted to Shs 3,444,000 (2003: Shs 2,921,200). These loans were given at concessionary rates.

At 31 December 2004 customer deposits include deposits due to directors or their families, employees and companies related through common directorship of Shs 919,289,000 (2003: Shs 708,365,000).

At 31 December 2004 contingent liabilities include letters of credit and guarantees issued for the account of companies related through common directorship amounting to Shs 27,278,000 (2003: Shs 33,976,000).

33. SHARE DISTRIBUTION SCHEDULE AND TEN LARGEST SHAREHOLDERS

The distribution of issued share capital of the bank as at 31 December 2004 was as follows:

Range	No of shareholders	No of shares held	% Shareholding
Less than 500 shares	1,518	370,022	0.37
500 - 5,000 shares	4,940	10,149,517	10.21
5,001 - 10,000 shares	1,369	9,728,674	9.79
10,001 - 100,000 shares	905	21,710,441	21.85
100,001 - 1,000,000 shares	53	12,785,796	12.87
Over 1,000,000 shares	7	44,630,550	44.91
Total	8,792	99,375,000	100.00

The ten largest Shareholders of the bank and their respective holdings as at 31 December 2004 were as follows:

Name	No. of shares	% Shareholding
Aga Khan Fund for Economic Development	22,592,097	22.73
International Finance Corporation	9,999,985	10.06
The Jubilee Insurance Company Limited	6,255,703	6.30
The Diamond Jubilee Investment Trust (U) Ltd.	1,859,371	1.87
Noorali Mohan Manji	1,432,461	1.44
Ameerali Nazarali	1,375,000	1.38
Phoenix of E.A. Insurance Company Ltd.	1,115,933	1.12
Craysell Investments Ltd.	1,000,000	1.01
Amin Nanji Juma	902,697	0.91
Ameerali K. Somji and Gulzar A. K. Somji	789,118	0.79

Proxy Form

I/We (in block letters) _____

of _____

being a member/s of Diamond Trust Bank Kenya Limited, hereby appoint

of _____

or failing him, _____

of _____

or failing him, the Chairman of the meeting to be my/our proxy, to vote for me/our and on my/our behalf at the Annual General Meeting of the Bank to be held on 24th May 2005 at 11:00 a.m. and at any adjournment thereof.

As witness my/our hand this _____ day of _____ 2005

Signature _____

Important Notes:

1. If you are unable to attend this meeting personally, this Proxy Form should be completed and returned to The Company Secretary, P. O. Box 61711, City Square 00200, Nairobi, so as to reach her not later than 48 hours before the time appointed for holding the meeting.
2. A person appointed to act as a proxy need not be a member of the Bank.
3. If the appointer is a corporation, this Proxy Form must be under the hand of officer or Attorney duly authorised in writing.

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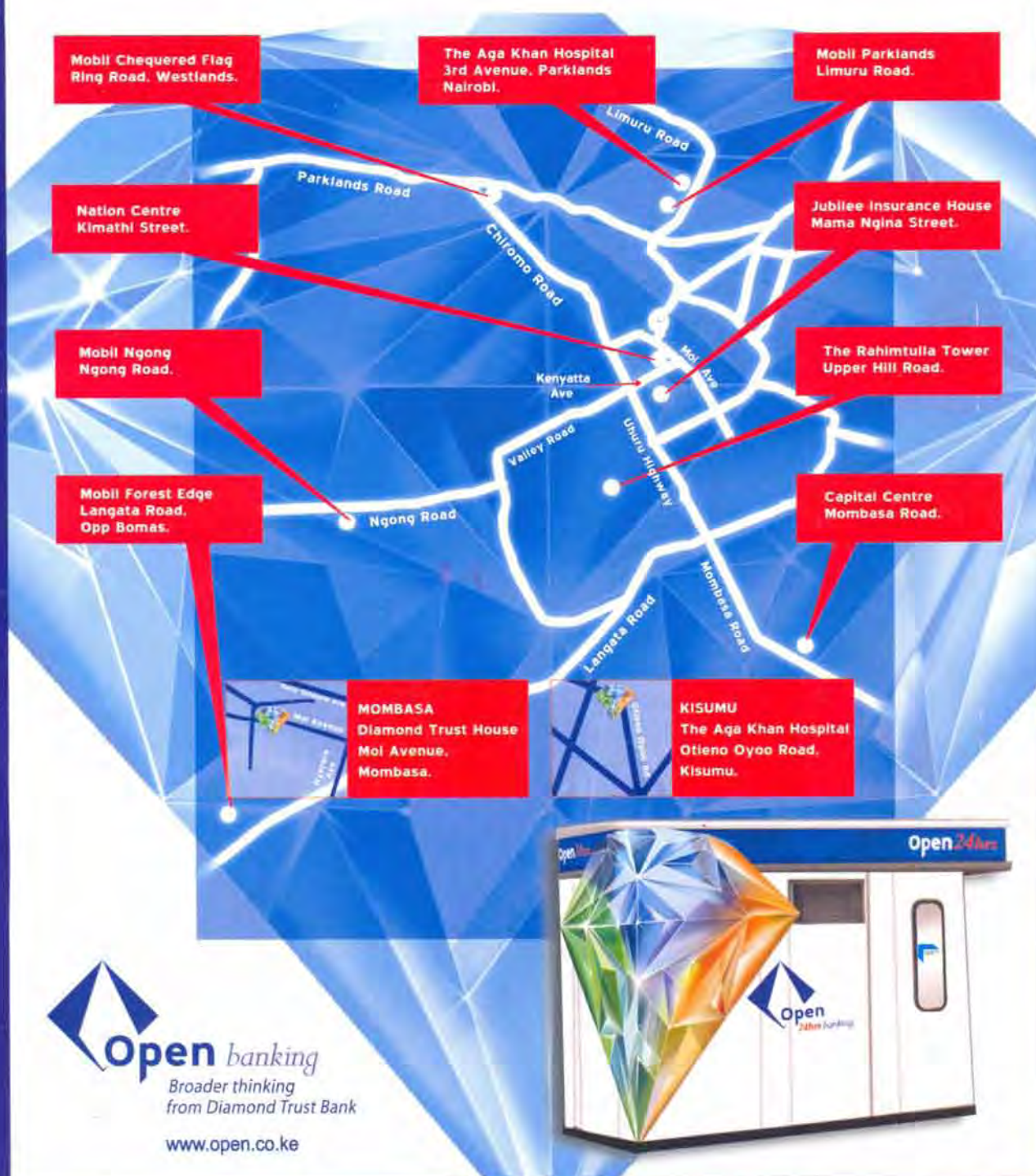
The Company Secretary
Diamond Trust Bank Kenya Limited
P. O. Box 61711, City Square 00200
Nairobi, Kenya

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Diamond Trust Bank Kenya Limited

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